

MGT411- MIDTERM EXAMINATION Money & Banking

Time: 60 min

Marks: 44

Question No: 1 (Marks: 1) - Please choose one

Among the following reasons, which is the most appropriate cause of inefficiency of the barter system over monetary system?

☐ Barter system involves commodities

☒ **Barter system involves double coincidence of wants**

☐ Barter system lacks a system for future payments

☐ Barter system lacks a system for storage of value

Ref by sehar

Barter is an alternative to using money but it doesn't work very well.♣

Barter requires a “double coincidence of wants,” meaning that in order for trade to take place both♣

parties must want what the other has.

Question No: 2 (Marks: 1) - Please choose one

For the valuation of goods and for quoting prices under the barter system the general formula which is used for n goods is _____.

☐ $n(n+1)/2$

☐ $n(n-1)*2$

☐ $n(n-1)/2$

☒ $(n-1)/2$

Question No: 3 (Marks: 1) - Please choose one

Price of 100 goods under the barter system would be _____.

☐ 5050

☐ 19800

☒ 4950

☐ 20200

Question No: 4 (Marks: 1) - Please choose one

In electronic transfer the most common method is to send money through a system maintained by Federal reserve called _____.

☐ Fedex

☒ Fedwire

☐ Fedtransfer

☐ Fedmoney

One wire transfer system used generally to transfer large dollar amounts instantaneously and which is provided by the US Federal Reserve System

Question No: 5 (Marks: 1) - Please choose one

E money is really a form of which one of the following?

☐ Paper money

☐ Fiat money

☐ Government money

🏠 Private money

Question No: 6 (Marks: 1) - Please choose one

Repurchase agreements are:

- 🏠 The most liquid of all money market instruments
- 🏠 In use for hundreds of years
- 🏠 Loans of deposits at the Federal Reserve

🏠 Short term loans with Treasury bills as collateral

Question No: 7 (Marks: 1) - Please choose one

Bonds that are issued by Government are called _____.

- 🏠 Government bonds

🏠 Treasury bonds

- 🏠 Corporate bonds
- 🏠 Callable bonds

Question No: 8 (Marks: 1) - Please choose one

Which of the following is the difference that lies between the options and futures?

🏠 Options is not binding whereas future is binding

- 🏠 Futures carry risks but Options didn't carry risk
- 🏠 Centralized clearinghouses guarantee futures but not options contracts
- 🏠 There is no difference between options and futures

options are what you are not bound to select but you are bound to go through what is happening in future.

Question No: 9 (Marks: 1) - Please choose one

You receive a check for \$100 two years from today. The discounted present value of this \$100 is:

☐ $\$100/(1+i)$

☐ $\$100*(1+i)^2$

☐ $\$100*(1+i)$

☒ $\$100/(1+i)^2$

Question No: 10 (Marks: 1) - Please choose one

Which of the following statement is correct?

☒ Higher the future value of payment shorter will be the time

☐ Lower the future value of payment the longer will be the time

☐ Lower the future value of payment the shorter will be the time

☐ Higher the future value of payment longer will be the time

Ref by sehar

The higher the interest rate (or the amount invested) the higher the future value. ♣

if Present Value is higher:

The higher the future value (FV) of the payment ♣

The shorter the time period until payment (n) ♣

The lower the interest rate (i) ♣

Question No: 11 (Marks: 1) - Please choose one

Which of the following investment will be profitable?

- ☐ IRR is less than cost of borrowing
- ☐ IRR is equal to cost of borrowing
- ☒ IRR is greater than cost of borrowing
- ☐ IRR has no connection with cost of borrowing

Question No: 12 (Marks: 1) - Please choose one

If the internal rate of return from an investment is less than the opportunity cost of funds:

- ☐ Firm should make the investment
- ☒ Firm should not make the investment
- ☐ Firm should only make the investment using retained earnings
- ☐ None of the given options

Question No: 13 (Marks: 1) - Please choose one

Given a choice between two investments with the same expected payoff:

- ☐ Most people will select the one with the highest variance
- ☐ Most people will opt for the one with the higher standard deviation
- ☐ Most people will be indifferent since the expected payoffs are the same
- ☒ Most people will choose the one with the lower standard deviation

Reference Chapter:

Measuring Risk.

Question No: 14 (Marks: 1) - Please choose one

The return on holding a bond till its maturity is called:

☐ Coupon rate

☒ Yield to maturity

☐ Current yield

☐ Fixed return

Ref by sehar

The most useful measure of the return on holding a bond is called the yield to maturity (YTM).♣

Question No: 15 (Marks: 1) - Please choose one

The relationship between the price and the interest rate for a zero coupon bond is best described as _____.

☐ Volatile

☐ Stable

☒ Inverse

☐ No relationship

The price of a bond and the interest rate move in opposite directions.

Question No: 16 (Marks: 1) - Please choose one

The price of a 6-month Treasury Bill is_____ the price of a 1-year Treasury Bill.

☐ Lower than

☒ **Higher than**

☐ Equal to

☐ None of the given options

Ref by sehar,

The most common maturity of a T-bill is 6 months; the Treasury does not issue them with a ♣

maturity greater than 1 year

The shorter the time until the payment is made the higher the price of the bond, so 6 month T-bills ♣

have a higher price than a one-year T-bill

Question No: 17 (Marks: 1) - Please choose one

The coupon rate of bond:

☐ Is another term for the current yield

☐ Is another term for the yield to maturity

☒ **Could not be calculated for a zero-coupon bond**

☐ None of the given options

Reference Chapter:

Response: Bond Yields.

Question No: 18 (Marks: 1) - Please choose one

What is the true relationship that exists between default risk and yield?

☒ **Higher the default risk, higher the yield**

☐ Lower the default risk, higher the yield

☐ Higher the default risk yield will remain constant

☐ Lower the default risk yield will remain constant

Lesson: 16

The higher the default risk the higher the probability that bondholders will not receive the promised payments and thus, the higher the yield.

Question No: 19 (Marks: 1) - Please choose one

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

☒ **Higher the tax rate wider the gap between the yield of taxable and tax exempt bond**

☐ Taxable bond yield is always greater than tax exempt bond

☐ Higher the tax rate shorter the gap between yield of taxable and tax exempt bond

☐ Lower the tax rate wider the gap between yield of taxable and tax exempt bond

Question No: 20 (Marks: 1) - Please choose one

The relationship among bonds with same risk characteristics but different maturities is called:

☐ Same structure of interest rate

☐ Yield to maturity

☒ **Term structure of interest rate**

☐ None of the given options

Lec 17

Question No: 21 (Marks: 1) - Please choose one

Which of the following statement is correct about the yield curve?

- ☐ Yield on short term bonds are not more volatile than yield on long term bond
- ☒ Long term yields tend to be higher than short term yield
- ☐ Interest rate of different maturities don't tend to move together
- ☐ None of the given options

Question No: 22 (Marks: 1) - Please choose one

The shape of the yield curve is usually:

- ☒ Upward sloping
- ☐ Downward sloping
- ☐ Upward sloping for shorter maturities and downward sloping for longer maturities
- ☐ Flat

Question No: 23 (Marks: 1) - Please choose one

The expectations theory of the term structure assumes:

- ☒ Buyers of bonds consider bonds of different maturities to be perfect substitutes
- ☐ Markets for different maturity bonds are completely separate
- ☐ Buyers of bonds prefer bonds with shorter maturities
- ☐ Buyers of bonds prefer bonds with longer maturities

Question No: 24 (Marks: 1) - Please choose one

Common stocks (or corporate stocks):

- ☐ Are short term debt instruments
- ☐ Entitle the holder to contractual payments
- ☐ Were poor investments over the period 1982-1996
- ☒ **Allows the holder to share in the earnings of the firm**

Essential Characteristics of Common Stock

Stocks, also known as common stock or equity, are shares in a firm's ownership♣

<http://groups.google.com/group/vuzs>

www.vuzs.net

Question No: 25 (Marks: 1) - Please choose one

The Dividend-Discount Model of stock valuation:

- ☐ Takes the annual dividend, adds it to the expected future selling price and divides by the number of years to get the current price
- ☐ Takes the net present value of expected dividends and add it to the future sale price of the stock
- ☐ Takes the net present value of the expected future price of the stock and add the annual dividend

☒ **Is an application of the net present value formula**

Reference Chapter:

Valuing Stocks.

Question No: 26 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

☒ **Mutual funds**

☐ Small corporations

☐ Stock brokers

☐ Small investors cannot take part in economic activity

Question No: 27 (Marks: 1) - Please choose one

The interest rate used in the present value calculation is often referred as:

☒ **Discount rate**

☐ Inflation rate

☐ Nominal rate

☐ Deflation rate

Question No: 28 (Marks: 1) - Please choose one

What will be the effect on yield to maturity when bond prices increase?

☐ Yield to maturity does not change

☒ **Yield to maturity decreases**

☐ Yield to maturity increases

☐ None of the given options

ref by sehar,

Since the price rises as the yield falls, when the price is above \$100, the yield to maturity must be♣

below the coupon rate.

Since the price falls as the yield rises, when the price is below \$100, the yield to maturity must be♣

above the coupon rate.

Question No: 29 (Marks: 3)

Differentiate among the individual's categories of Risk Neutral, Risk Averse and Risk Lovers.

MGT411- Money & Banking (Session - 6)

Marks: 44

Question No: 1 (Marks: 1) - Please choose one

When an individual obtains a student loan and makes all of the regular monthly payments, the sum of the payments made will exceed the initial amount of the loan. Which of the core principle primarily applies in this situation?

- ▶ Risk Requires Compensation
- ▶ **Time has value**
- ▶ Markets are sometimes inefficient at allocating resources
- ▶ Information is the basis for decisions

Question No: 2 (Marks: 1) - Please choose one

If a person has a large amount of currency or big bank account at a point in time, which statement suites best for him?

- ▶ He has money with him
- ▶ He earns income
- ▶ **He is wealthy**
- ▶ He is not a taxpayer

Question No: 3 (Marks: 1) - Please choose one

For the valuation of goods and for quoting prices under the barter system the general formula which is used for n goods is _____.

- ▶ $n(n+1)/2$
- ▶ $n(n-1)*2$
- ▶ $n(n-1)/2$
- ▶ **$(n-1)/2$**

Question No: 4 (Marks: 1) - Please choose one

Economists study the link between money and inflation because:

- ▶ Research shows that there is some inverse correlation between the supply of money and inflation
- ▶ Economists believe that inflation in the 3-5% range is healthy for an economy
- ▶ As prices increase money becomes more valuable
- ▶ **Research shows that there is some direct correlation between the supply of money and**

inflation

Question No: 5 (Marks: 1) - Please choose one

Which of the following statements is correct?

- ▶ If you can buy the same goods this year as you bought last year with less money the money supply decreased.
- ▶ **To purchase the same goods today that were purchased one year ago requires more money, there must have been inflation**
- ▶ To purchase the same goods today as one year ago requires less money, the money supply must have increased
- ▶ To purchase the same goods today that were purchased one year ago requires the same amount of money, there must have been inflation

Question No: 6 (Marks: 1) - Please choose one

Which of the following market allowed networks of dealers that are connected electronically?

- ▶ New York Stock Exchange
- ▶ **NASDAQ**
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

Question No: 7 (Marks: 1) - Please choose one

You receive a check for \$500 three years from today. The discounted present value of this \$500 is

-
- ▶ $\$500/(1+i)$
 - ▶ $\$500*(1+i)$
 - ▶ **$\$500/(1+i)^3$**
 - ▶ $\$500*(1+i)^3$

Question No: 8 (Marks: 1) - Please choose one

Which of the following investment will be profitable?

- ▶ IRR is less than cost of borrowing
- ▶ IRR is equal to cost of borrowing
- ▶ **IRR is greater than cost of borrowing**
- ▶ IRR has no connection with cost of borrowing

Question No: 9 (Marks: 1) - Please choose one

If the internal rate of return from an investment is less than the opportunity cost of funds:

- ▶ Firm should make the investment
- ▶ **Firm should not make the investment**
- ▶ Firm should only make the investment using retained earnings
- ▶ None of the given options

Question No: 10 (Marks: 1) - Please choose one

Mary is planning on taking out a mortgage loan for her new house. She is given the choice of two different banks: Bank A has quoted annual rate of 8% compounded semi-annually and Bank B has a quoted annual rate of 7.5% compounded for a certain number of times a year. Which bank should Mary choose?

- ▶ Bank A
- ▶ **Bank B (not sure)**
- ▶ Indifferent between Bank A and Bank B
- ▶ Insufficient information

Question No: 11 (Marks: 1) - Please choose one

What will be the result of the difference of real and nominal interest rate?

- ▶ The cost of borrowing
- ▶ **The effect of inflation**
- ▶ The price of bonds
- ▶ The return of bonds

Question No: 12 (Marks: 1) - Please choose one

If an investment will return \$1000 $\frac{1}{2}$ of the time and \$600 $\frac{1}{2}$ of the time, the expected value of the investment is:

- ▶ \$1,600
- ▶ **\$800**
- ▶ \$400
- ▶ \$900

To calculate the expected value of an investment, multiply each possible payoff by its probability and then sum all the results.

$$1000 \times .5 = 500$$

$$600 \times .5 = 300$$

$$(500 + 300) = 800$$

Question No: 13 (Marks: 1) - Please choose one

The risk premium for an investment:

- ▶ **Increases with risk**
- ▶ Is a fixed amount added to the risk free return
- ▶ Is negative for U.S. Treasury Securities
- ▶ Is negative for risk averse investors

Question No: 14 (Marks: 1) - Please choose one

For a \$1000 one year discount bond with a price of \$975, the yield to maturity is which of the following?

- ▶ \$975/\$1000
- ▶ **$(\$1000 - \$975)/\$975$**
- ▶ $(\$1000 - \$975)/(\$1000)$
- ▶ \$1000/\$975

Question No: 15 (Marks: 1) - Please choose one

The relationship between the price and the interest rate for a zero coupon bond is best described as

- _____.
- ▶ Volatile
 - ▶ Stable
 - ▶ **Inverse**
 - ▶ No relationship

The price of a bond and the interest rate move in opposite directions.

Question No: 16 (Marks: 1) - Please choose one

In which of the following bonds we may ignore the default risk?

- ▶ Privately issued bonds
- ▶ **Government issued bonds**
- ▶ Bonds issued by Corporate
- ▶ All of the given options

Question No: 17 (Marks: 1) - Please choose one

The slope of the yield curve seems to predict the performance of the economy with:

- ▶ Usually 3 months lag
- ▶ Usually two years lag
- ▶ Usually within few weeks
- ▶ **Usually one year lag**

<http://webcache.googleusercontent.com/search?q=cache:nsIfVStggm4J:pages.towson.edu/edefranc/CHAP007.RTF+%22The+slope+of+the+yield+curve+seems+to+predict+the+performance+of+the+economy+with%22&cd=3&hl=en&ct=clnk>

Question No: 18 (Marks: 1) - Please choose one

Other things remaining equal, the liquidity premium theory is based upon the idea that _____.

- ▶ Investors prefer long-term bonds
- ▶ **Investors prefer short-term bonds**
- ▶ Investors are indifferent between short-term and long-term bonds
- ▶ Investors prefer intermediate-term bonds

http://wps.aw.com/aw_mishkin_econmbfm_8/46/12000/3072105.cw/content/index.html

Question No: 19 (Marks: 1) - Please choose one

The expectations theory of the term structure assumes:

- ▶ **Buyers of bonds consider bonds of different maturities to be perfect substitutes**
- ▶ Markets for different maturity bonds are completely separate
- ▶ Buyers of bonds prefer bonds with shorter maturities
- ▶ Buyers of bonds prefer bonds with longer maturities

Question No: 20 (Marks: 1) - Please choose one

A share of common stock represents _____.

- ▶ **A claim from a lender to a borrower**

- ▶ A share in the company's assets
- ▶ **A share of ownership of the company**
- ▶ An unlimited liability to the owner of the stock

Question No: 21 (Marks: 1) - Please choose one

An index number is a valuable tool because:

- ▶ The number by itself provides all of the useful information needed
- ▶ **The index provides a meaningful measurement scale to calculate percentage changes**
- ▶ The index is more stable than the data it reflects
- ▶ It does not require any calculations to compute percentage changes

<http://groups.google.com/group/vuZs>

Question No: 22 (Marks: 1) - Please choose one

The Dividend-Discout Model of stock valuation:

- ▶ Takes the annual dividend, adds it to the expected future selling price and divides by the number of years to get the current price
- ▶ Takes the net present value of expected dividends and add it to the future sale price of the stock
- ▶ Takes the net present value of the expected future price of the stock and add the annual dividend
- ▶ **Is an application of the net present value formula**

Question No: 23 (Marks: 1) - Please choose one

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- ▶ Free-riding
- ▶ **Moral hazard**
- ▶ Adverse selection
- ▶ The Lemons market

Coinsurance, co-payments, and deductibles reduce the risk of moral hazard by increasing the out-of-pocket spending of consumers, which decreases their incentive to consume. Thus, the insured have a financial incentive to avoid making a claim.

Question No: 24 (Marks: 1) - Please choose one

Financial instruments are used to transfer which of the following?

- ▶ **Both Risk and Resources**
- ▶ Risk
- ▶ Resources
- ▶ Mortgages

Financial instruments are used to transfer wealth from savers to borrowers and risk to those best equipped to bear it.

Question No: 25 (Marks: 1) - Please choose one

Which of the following represents the history of money uptill the modern age?

- ▶ **Gold/silver coins_____Paper Currency_____Electronic Fund Transfer**
- ▶ Paper Currency_____Gold/Silver coins_____Electronic Fund Transfer
- ▶ Electronic Fund Transfer_____Paper Currency_____Gold/silver coins
- ▶ Gold/silver coins_____Electronic Fund Transfer_____Paper currency

Question No: 26 (Marks: 1) - Please choose one

Spreading involves:

- ▶ Finding assets whose returns are perfectly negatively correlated
- ▶ Building a portfolio of assets whose returns move together
- ▶ Investing in bonds and avoiding stocks during bad times
- ▶ **Adding assets to a portfolio that moves independently**

Question No: 27 (Marks: 1) - Please choose one

Home loan and car loan are the examples of which one of the following?

- ▶ Mortgage loan
- ▶ Pledge
- ▶ **Fixed Payment Loan**
- ▶ Ordinary loan

Question No: 28 (Marks: 1) - Please choose one

If there is a decrease in the expected future interest rate, what will be its affect on bond?

- ▶ Bond will be less attractive
- ▶ **Bond will be more attractive**
- ▶ Bond will be less expensive
- ▶ Bond will be more expensive

A decrease in the expected future interest rate makes bonds more attractive

Question No: 29 (Marks: 3)

Find out YTM of 1 year 12% coupon bond selling at \$130. (Face value of bond = \$100).

Question No: 30 (Marks: 3)

Discuss adverse selection in financial markets.

Question No: 31 (Marks: 5)

Assume that a corporation issues 1 year bond at 5% rate with the face value of Rs.100.If there is no risk of default then find out the price of this bond.

Question No: 32 (Marks: 5)

"People differ in their opinions of how stocks should be valued". Discuss it.

MIDTERM EXAMINATION
Spring 2009
MGT411- Money & Banking (Session - 2)

Time: 60 min

Marks: 50

Question No: 1 (Marks: 1) - Please choose one

Which of the following statement is true about the relationship between bond ,coupon payment and interest?

- ▶ Coupon payments fall, the interest rate falls, and Bond price will rise
- ▶ **Coupon payments rise, the interest rate falls, and Bond price will rise**
- ▶ Coupon payments fall, the interest rate falls, and Bond price will fall
- ▶ Coupon payments rise, the interest rate falls, and Bond price will fall

The value of the coupon bond rises when the yearly coupon payments rise and when the interest rate falls

Lower interest rates mean higher bond prices and vice versa.

Question No: 2 (Marks: 1) - Please choose one

Which of the following institution takes direct deposit from customer and gives loan to customer directly?

- ▶ Zarai Tarkaytee Bank LTD
- ▶ Soneri Bank
- ▶ Khushali Bank
- ▶ **Credit union**

Question No: 3 (Marks: 1) - Please choose one

Which of the following is **NOT** true for financial institutions?

- ▶ It reduces the transaction cost
- ▶ It reduces the information cost
- ▶ It reduces the asymmetric information
- ▶ It doesn't make long term loans

Question No: 4 (Marks: 1) - Please choose one

Often a bank will require a loan officer to make personal visits on customers with loans outstanding. This is encouraged because:

- ▶ The bank worries about competitors trying to steal their customers
- ▶ The bank wants to make sure the business is still there
- ▶ The bank likely has excess funds available and hopes to make another loan to the business
- ▶ This is an effective monitoring technique and should reduce moral hazard

Question No: 5 (Marks: 1) - Please choose one

Della's Donut Shop goes out of business due to decreasing sales resulting from the dramatic increase in people on low carbohydrate diets. The decrease in business also results in Della's defaulting on the loan they have with the bank. This is an example of:

- ▶ Asymmetric information in financial markets
- ▶ Moral hazard in financial markets
- ▶ Lack of perfect information in financial markets
- ▶ Adverse selection

Question No: 6 (Marks: 1) - Please choose one

A bank can usually offer a saver a higher return for the same risk because:

- ▶ The bank can usually purchase assets at a higher cost than any one saver
- ▶ The bank can pool the resources of larger savers and purchase lower denominated assets
- ▶ Economies of scale can be applied by the bank in its purchase of assets
- ▶ None of the given options

Question No: 7 (Marks: 1) - Please choose one

Without the ability of financial intermediaries to pool the resources of small savers:

- ▶ Borrowers needing large amounts of money would find it less costly to obtain the funds
- ▶ The economy would likely grow faster
- ▶ People would likely save more
- ▶ The risk associated with lending would increase

Question No: 8 (Marks: 1) - Please choose one

The process of financial intermediation:

- ▶ Creates a net cost to an economy but is unavoidable
- ▶ Is used primarily in underdeveloped countries
- ▶ Is always used when a borrower needs to obtain funds
- ▶ **Increases the economy's ability to produce**

Question No: 9 (Marks: 1) - Please choose one

The Theory of Efficient Markets:

▶ **Allows for higher than average returns if the investor takes higher risk**

- ▶ Says Insider-information makes markets less efficient
- ▶ Rules out high returns due to chance
- ▶ Assumes people have equal luck

pages.towson.edu/EDeFranc/CHAP008.RTF

Question No: 10 (Marks: 1) - Please choose one

If we ignore risk, the dividend discount model says the fundamental price of a stock is simply:

- ▶ **The current dividend divided by the interest rate less the dividend growth rate**
- ▶ The annual growth rate of the dividend minus the interest rate divided by the current dividend
- ▶ The current dividend divided by the interest rate plus the dividend growth rate
- ▶ The current dividend divided by the dividend growth rate less the interest rate

Question No: 11 (Marks: 1) - Please choose one

Which statement shows the major difference between stocks and bonds?

- ▶ Bonds pay their owners dividends while stocks pay interest
- ▶ **Bonds pay their owners interest while stocks pay dividends**
- ▶ Interest on a bond is not guaranteed while dividends on stock are legally required
- ▶ Bonds represent ownership while stock represents debt

Question No: 12 (Marks: 1) - Please choose one

The concept of limited liability says a **stockholder** of a corporation:

- ▶ Is liable for the corporation's liabilities, but nothing more
- ▶ Cannot receive dividends that exceed their investment
- ▶ Cannot own more than five percent of any public corporation
- ▶ **Cannot lose more than their investment**

Question No: 13 (Marks: 1) - Please choose one

The liquidity premium theory suggests that yield curves should usually be:

- ▶ **Up-sloping**
- ▶ Inverted
- ▶ Flat
- ▶ Up-sloping through year 1, then flat thereafter

Question No: 14 (Marks: 1) - Please choose one

Which of the following statement is true about two bonds having same default rate and tax status but different maturity dates?

- ▶ It creates no effect on yield of bonds
- ▶ **Both of them have different yield**
- ▶ Liquidity risk factor should be taken into consideration
- ▶ It is impossible that default risk and tax status of two bonds are same

Question No: 15 (Marks: 1) - Please choose one

A business cycle downturn shifts the bond supply to the:

- ▶ Right
- ▶ **Left**
- ▶ No change
- ▶ None of the given options

A business-cycle downturn shifts the bond supply to the left and the bond demand to the left. In this case the bond price can rise or fall, depending on which shift is greater. But interest rates tend to fall in recessions, so bond prices are likely to increase.

Question No: 16 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond demand to the _____

- ▶ Right
- ▶ **Left**
- ▶ No change
- ▶ None of the given options

A fall in expected inflation shifts the bond demand curve to the right, increasing demand at each price and lowering the yield and increasing the Bond's price.

Question No: 17 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond supply to the _____

- ▶ **Right**
- ▶ Left
- ▶ No change
- ▶ None of the given options

Question No: 18 (Marks: 1) - Please choose one

Current yield did **NOT** measure which of the following?

- ▶ Return arises from coupon payment
- ▶ **Capital gain and loss**
- ▶ Return arises from bond holding till maturity
- ▶ All of the given options

Question No: 19 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

- ▶ Price paid / yearly coupon payment

- ▶ Price paid *yearly coupon payment
- ▶ Yearly coupon payment / face value of bond
- ▶ Yearly coupon payment / price paid

Question No: 20 (Marks: 1) - Please choose one

The relationship between the price and the interest rate for a zero coupon bond is best described as _____.

- ▶ Volatile
- ▶ Stable
- ▶ Inverse
- ▶ No relationship

Question No: 21 (Marks: 1) - Please choose one

Which of the following statement is **NOT** true for consols?

- ▶ Consol offers only periodic interest payments
- ▶ Borrower never repays the principal
- ▶ There are Government and as well as private consols
- ▶ Price of a consol is the present value of all the future interest payments

There are no privately issued consols because only governments can credibly promise to make payments forever

Question No: 22 (Marks: 1) - Please choose one

_____ is the strategy of reducing overall risk by making two investments with opposing risks.

- ▶ Spreading the risk
- ▶ Standard deviation
- ▶ Hedging the risk
- ▶ Variance

Hedging is the strategy of reducing overall risk by making two investments with opposing risks so that when one does poorly the other does well and vice versa.

Question No: 23 (Marks: 1) - Please choose one

The variance is generally less useful than the standard deviation on which of the following reasons?

- ▶ Variance is easier to calculate
- ▶ Variance is a measure of risk, whereas standard deviation is a measure of return
- ▶ Variance isn't calculated in the same units as payoffs where as standard deviation is
- ▶ Both are equally useful

Question No: 24 (Marks: 1) - Please choose one

Suppose a \$1000 investment has a fixed return of 5% per annum, which one of the following statement is **NOT** true for this investment?

- ▶ Its return can be calculated
- ▶ It's a risky investment

- ▶ It will give return annually
- ▶ Its future value is known

Question No: 25 (Marks: 1) - Please choose one

If a bond sells at a premium, where price exceeds face value, then we would expect to see:

- ▶ Market interest rate the same as the coupon rate
- ▶ Market interest rates above the coupon rate
- ▶ **Market interest rates below the coupon rate**
- ▶ None of the given options

Question No: 26 (Marks: 1) - Please choose one

The rule of 72 says that at 12% interest \$100 should become \$200 in about

- ▶ **72 months**
- ▶ 100 months
- ▶ 12 years
- ▶ 8.2 years

Question No: 27 (Marks: 1) - Please choose one

A borrower is promised a \$100 payment (including interest) one year from today. If the lender has an 8% opportunity cost of money, he should be willing to accept what amount today?

- ▶ Rs.100.00
- ▶ Rs.108.20
- ▶ **Rs.92.59**
- ▶ Rs.96.40

Question No: 28 (Marks: 1) - Please choose one

_____ is the today's value of a payment that is promised to be made in the future.

- ▶ None of the given options
- ▶ Future value
- ▶ **Present value**
- ▶ Agreed value

The present value is the value today of a payment that is promised to be made in the future. It is the amount that must be invested today in order to realize a specific amount on a given future date

Question No: 29 (Marks: 1) - Please choose one

The future value of \$100 left in a savings account earning 4.5% for two and a half years is best expressed by:

- ▶ $\$100(1.045)^{3/2}$
- ▶ $\$100(0.45)^{2.5}$
- ▶ **$\$100(1.045)^{2.5}$**
- ▶ $100 \times 2.5 \times (1.045)$

Question No: 30 (Marks: 1) - Please choose one

What is relationship between interest rate and future value?

- ▶ Lower the interest rate higher will be the future value
- ▶ Higher the interest rate higher will be the future value
- ▶ Higher the interest rate lower will be the future value
- ▶ Interest rate has no effect on future value

Question No: 31 (Marks: 1) - Please choose one

Which of the following is a financial market in which a borrower obtains funds from a lender by selling newly issued securities?

- ▶ Secondary market
- ▶ Primary market
- ▶ Over the counter market
- ▶ Centralized market

In a primary market a borrower obtains funds from a lender by selling newly issued securities. Most of the action in primary markets goes on out of public view. Most companies use an investment bank, which will determine a price and then purchase the company's securities in preparation for resale to clients; this is called underwriting. We hear more about the secondary markets where people can buy and sell existing securities.

Question No: 32 (Marks: 1) - Please choose one

Repurchase agreements are:

- ▶ The most liquid of all money market instruments
- ▶ In use for hundreds of years
- ▶ Loans of deposits at the Federal Reserve
- ▶ Short term loans with Treasury bills as collateral

Question No: 33 (Marks: 1) - Please choose one

Considering the value of a financial instrument, the longer the time until the promised payment is made:

- ▶ The less valuable is the promise to make it since time is valuable
- ▶ The greater the risk, therefore the promise has greater value
- ▶ The more valuable is the promise to make it
- ▶ It has no effect on the value of instrument

Question No: 34 (Marks: 1) - Please choose one

A Financial Intermediary:

- ▶ Is an agency that guarantees a loan
- ▶ Is involved in direct finance
- ▶ Would be used in indirect finance
- ▶ None of the given options

Question No: 35 (Marks: 1) - Please choose one

The Consumer Price Index (CPI):

- ▶ Tends to overstate inflation due to substitution bias
- ▶ Tends to understate actual inflation
- ▶ Is more accurate than the GDP deflator

► Is based on basket of goods that changes monthly with consumer expenditures

Question No: 36 (Marks: 1) - Please choose one

All of the following are the components of M_2 EXCEPT?

- M_1
- Saving deposits
- **Travelers cheques**
- Mutual funds shares

Question No: 37 (Marks: 1) - Please choose one

Which of the following statement truly represents the main difference between debit card and store value card?

- **Debit card is operated by ATM machine while Store value card doesn't**
- Debit card appearance is different from Store value card
- Debit card is not specific for user but store value card is specific
- Debit card is specific for user but store value card is not

Question No: 38 (Marks: 1) - Please choose one

In electronic transfer the most common method is to send money through a system maintained by Federal reserve called _____.

- Fedex
- **Fedwire**
- Fedtransfer
- Fedmoney

One wire transfer system used generally to transfer large dollar amounts instantaneously and which is provided by the US Federal Reserve System

Question No: 39 (Marks: 1) - Please choose one

The one that you get from bank when you open your checking account is

_____.

- **Debit card**
- Credit card
- Store value card
- Customer card

Question No: 40 (Marks: 1) - Please choose one

Mr. Ghazanfar has assets which when converted to cash, yield more currency then he needs to pay his debt. Which of the following statement best suites Mr. Ghazanfar?

- Mr. Ghazanfar earns good income
- Mr. Ghazanfar is a wealthy person
- **All of the given options**
- Mr. Ghazanfar has a lot of money at point in time

Question No: 41 (Marks: 10)

What are five core principles of financial system? Discuss it in detail.

Answer:

Financial System:

In finance, the financial system is the system that allows the transfer of money between savers and borrowers.

Five Core Principles of the Financial System & Details:

According to Mr. Brown, five core principles of Financial System, as outlined below:

- 1) **First**, transparency means bringing the so-called 'shadow banking system' into the regulatory system, not operating parallel to it. And across the world, financial institutions need to be supervised not on what name they give themselves - be it banks, hedge funds or investment funds - but on what they do. We also need to ensure that all jurisdictions - such as offshore havens - and all important markets are covered by global supervision.
- 2) **Second** accountability means boardroom integrity, where boards of directors must understand and be held responsible for the risks they undertake. And credit rating agencies need to be free of conflicts of interest and be properly licensed.
- 3) **Third**, responsible risk taking means an end to the excesses from short-termism; instead rewarding people for long term success not short term deals. But to be most effective it has to be done internationally. A race to the bottom is in no one's interest. So we should agree a new international approach to pay and bonus structures.
- 4) **The fourth** principle of prudential regulation means taking into account the effect of a bank's capital, liquidity, solvency and conduct on the whole financial system.
- 5) **Finally**, he stated: "Lastly, international co-operation lies at the heart of all our changes - recognizing that financial institutions that work across borders need to be under cross border supervision too and regulators in one country must co-operate far more closely with regulators in other countries to create a global network of regulation that captures the risks to us all.

Other Principles of Financial are below:

a. Facilitate Payments

b. Channel Funds from Savers to Borrowers

c. Enable Risk Sharing

**MIDTERM EXAMINATION
MGT411- Money & Banking (Session - 4)**

Question No: 1 (Marks: 1) - Please choose one

Investing was an activity reserved for only _____ in the past.

- ▶ Business men
- ▶ Traders
- ▶ **Wealthy people**
- ▶ Stock brokers

Question No: 2 (Marks:1) - Please choose one

When an individual obtains a student loan and makes all of the regular monthly payments, the sum of the payments made will exceed the initial amount of the loan. Which of the core principle primarily applies in this situation?

- ▶ Risk Requires Compensation
- ▶ **Time has value**
- ▶ Markets are sometimes inefficient at allocating resources
- ▶ Information is the basis for decisions

Time value is in general the value added to a good or service by passage of time, or by virtue of it being available at the time it was desired or required.

Question No: 3 (Marks: 1) - Please choose one

For the valuation of goods and for quoting prices under the barter system the general formula which is used for n goods is _____.

- ▶ $n(n+1)/2$
- ▶ $n(n-1)*2$
- ▶ $n(n-1)/2$
- ▶ **$(n-1)/2$**

Under barter the general formula for n goods, we will have $n(n-1)/2$ prices.

Question No: 4 (Marks: 1) - Please choose one

Among the following which one is less liquid asset?

- ▶ Checking account
- ▶ Car
- ▶ Share
- ▶ Debit card

Question No: 5 (Marks: 1) - Please choose one

Which of the following statements is correct?

- ▶ If you can buy the same goods this year as you bought last year with less money the money supply decreased.
- ▶ **To purchase the same goods today that were purchased one year ago requires more money, there must have been inflation**
- ▶ To purchase the same goods today as one year ago requires less money, the money supply must have increased
- ▶ To purchase the same goods today that were purchased one year ago requires the same amount of money, there must have been inflation

Question No: 6 (Marks: 1) - Please choose one

The loans made between borrowers and lenders:

- ▶ Are liabilities to the lenders and assets to the borrowers since the borrower obtains the funds
- ▶ **Are assets to the lenders and liabilities of the borrowers since the promises are made to the lenders**
- ▶ Are assets to the borrowers as he obtains funds and also the liability to the borrowers as he has to pay it
- ▶ Are not part of either's assets or liabilities until the loans are repaid

Question No: 7 (Marks: 1) - Please choose one

The process of financial intermediation:

- ▶ Creates a net cost to an economy but is unavoidable
- ▶ Is used primarily in underdeveloped countries
- ▶ Is always used when a borrower needs to obtain funds
- ▶ **Increases the economy's ability to produce**

Question No: 8 (Marks: 1) - Please choose one

Which of the following market allowed networks of dealers that are connected electronically?

► New York Stock Exchange

► **NASDAQ**

► Large exchanges in London

► Large exchanges in Tokyo

Question No: 9 (Marks: 1) - Please choose one

If you put \$1,000 per year into bank at 4% interest, how much would you have saved after 40 years?

► \$90,000

► **\$98,826**

► \$82,286

► \$85,880

=FV(0.04,40,1000,,1)

= (\$98,826.54)

Question No: 10 (Marks: 1) - Please choose one

A borrower is promised a \$100 payment (including interest) one year from today. If the lender has an 8% opportunity cost of money, he should be willing to accept what amount today?

► Rs.100.00

► **Rs.108.20**

► Rs.92.59

► Rs.96.40

Question No: 11 (Marks: 1) - Please choose one

Asma deposits funds into a CD account at her bank. The CD account has an annual interest of 4.0%. If Asma leaves the funds in the CD account for entire two years she will have \$1081.60. What amount is Asma depositing?

► \$960.60

► \$900.00

► \$1005.00

► **\$1000.00**

Question No: 12 (Marks: 1) - Please choose one

You receive a check for \$100 two years from today. The discounted present value of this \$100 is:

- ▶ $\$100/(1+i)$
- ▶ $\$100*(1+i)^2$
- ▶ $\$100*(1+i)$
- ▶ **$\$100/(1+i)^2$**

Question No: 13 (Marks: 1) - Please choose one

What will be the effect on the present value if we double the future value of the payment?

- ▶ It will decrease the value by one-half
- ▶ It will increase the value by one-half
- ▶ **It will equally increase the value i.e. doubles the value**
- ▶ It will have no effect on the value

Question No: 14 (Marks: 1) - Please choose one

What will be the result of the difference of real and nominal interest rate?

- ▶ The cost of borrowing
- ▶ **The effect of inflation**
- ▶ The price of bonds
- ▶ The return of bonds

Question No: 15 (Marks: 1) - Please choose one

Suppose a \$1000 investment has a fixed return of 5% per annum, which one of the following statement is **NOT** true for this investment?

- ▶ Its return can be calculated
- ▶ **It's a risky investment**
- ▶ It will give return annually
- ▶ Its future value is known

Question No: 16 (Marks: 1) - Please choose one

The variance is generally less useful than the standard deviation on which of the following reasons?

- ▶ **Variance is easier to calculate**

- ▶ Variance is a measure of risk, whereas standard deviation is a measure of return
- ▶ **Variance isn't calculated in the same units as payoffs where as standard deviation is**
- ▶ Both are equally useful

Question No: 17 (Marks: 1) - Please choose one

Sum of all the probabilities should be equal to which one of the following?

- ▶ Zero
- ▶ **One**
- ▶ Two
- ▶ Three

Question No: 18 (Marks: 1) - Please choose one

What is true about the relationship between standard deviation and risk?

- ▶ **Greater the standard deviation greater will be the risk**
- ▶ Greater the standard deviation lower will be the risk
- ▶ Greater the standard deviation risk will be remained the same
- ▶ No relation between them

Question No: 19 (Marks: 1) - Please choose one

Which one of the following agencies assesses the default risk of different issuers?

- ▶ Insurance companies
- ▶ Bond issuing
- ▶ **Credit rating**
- ▶ Recruitment agencies

Question No: 20 (Marks: 1) - Please choose one

The default premium:

- ▶ Is positive for a U.S. Treasury bond
- ▶ Must always be less than 0 (zero)
- ▶ **Is also known as the risk spread**
- ▶ Is assigned by a bond rating agency

Question No: 21 (Marks: 1) - Please choose one

In the long run, the yield curve tends to be which of the following?

- ▶ Upward sloping
- ▶ Downward sloping
- ▶ Nearly vertical
- ▶ Nearly horizontal

Question No: 22 (Marks: 1) - Please choose one

		Bond A	Bond B
Maturity	5 years	10 years	
Default risk	5%	5%	
Tax rate	30%	30%	
Yield	?	?	

See the above table and choose the one option which is **NOT** correct about the yield of Bond A and Bond B?

- ▶ Bond tax status and default rate are not the only factors that affect the yield of the two bonds
- ▶ Bond A has different yield from that of Bond B because of change in maturity period
- ▶ Yields of both the bonds are not disturbed by maturity period
- ▶ Yield of Bond B depends on what people expect to happen in years to come

Question No: 23 (Marks: 1) - Please choose one

Calculate tax implication on Bond yields. Consider a one year bond face value Rs.100 (issued by Government) with coupon rate of 6%.What is the income of bond that is received at maturity? (Tax rate is 30%).

- ▶ Rs.6
- ▶ Rs.1.80
- ▶ Rs.4.20
- ▶ Rs.7.80

Question No: 24 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ Because only interest income they receive from bond is taxable
- ▶ Because principal amount and interest income they receive from bond is taxable

- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

Question No: 25 (Marks: 1) - Please choose one

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

- ▶ **Higher the tax rate wider the gap between the yield of taxable and tax exempt bond**
- ▶ Taxable bond yield is always greater than tax exempt bond
- ▶ Higher the tax rate shorter the gap between yield of taxable and tax exempt bond
- ▶ Lower the tax rate wider the gap between yield of taxable and tax exempt bond

Question No: 26 (Marks: 1) - Please choose one

Term structure of interest rate can be explained by which one of the following?

- ▶ Tax difference
- ▶ Expectation hypothesis
- ▶ Liquidity premium theory
- ▶ **Both by expectation hypothesis and liquidity premium theory**

Question No: 27 (Marks: 1) - Please choose one

The concept of limited liability says a **stockholder** of a corporation:

- ▶ Is liable for the corporation's liabilities, but nothing more
- ▶ Cannot receive dividends that exceed their investment
- ▶ Cannot own more than five percent of any public corporation
- ▶ **Cannot lose more than their investment**

Question No: 28 (Marks: 1) - Please choose one

A risk seeking investor versus a risk-neutral investor:

- ▶ **Will always take a risk, while the risk neutral investor will not**
- ▶ Will need less compensation for the same risk versus the risk neutral investor
- ▶ Will not take the same risks as the risk neutral investor if the expected returns are equal
- ▶ None of the given option

Question No: 29 (Marks: 3)

Briefly discuss interest-rate risk in your own words.

Question No: 30 (Marks: 3)

Discuss briefly the facts about term Structure.

<http://groups.google.com/group/vuZs>

Question No: 31 (Marks: 5)

Define yield to maturity. What is the relationship between yield to maturity and the price of bond if;

- § Yield to maturity is equal to the coupon rate
- § Yield to maturity is greater the coupon rate
- § Yield to maturity is below the coupon rate

Question No: 32 (Marks: 5)

MIDTERM EXAMINATION
MGT411- Money & Banking

<https://groups.google.com/group/vustudymasti?hl=en>

Question No: 1 (Marks: 1) Please choose one

Which of the following are used to transfer resources from savers to investors and to transfer risk to those who best equipped it?

- ▶ Financial markets
- ▶ **Financial instruments**
- ▶ Financial institutions
- ▶ Banks

Reference by Stephen G Cecchetti

two ideas are emphasized: that financial instruments transfer resources from savers to investors, and that in doing so, they transfer risk to those best equipped to bear it

Question No: 2 (Marks: 1) - Please choose one

Which of the following are used to monitor and stabilize the economy?

- ▶ Stock exchanges

- ▶ Commercial Banks

- ▶ **Central Banks**

- ▶ Financial institutions

Question No: 3 (Marks: 1) - Please choose one

The reason for the government to get involved in the financial system is to:

- ▶ Protect investors
- ▶ Ensure the stability of the financial system
- ▶ Protect bank customers from monopolistic exploitation

► **All of the given options**

Question No: 4 (Marks: 1) - Please choose one

The one that you get from bank when you open your checking account is _____.

► **Debit card**

- Credit card
- Store value card
- Customer card

Question No: 5 (Marks: 1) - Please choose one

Money is really a form of which one of the following?

- Paper money
- Fiat money
- Government money

► **Private money**

Question No: 6 (Marks: 1) - Please choose one

All of the following are the components of M_2 **EXCEPT**?

- M_1

► **Travelers cheques**

- Saving deposits
- Mutual funds shares

M_2 : Equals M_1 + savings deposits, [time deposits](#) less than \$100,000 and money market deposit accounts for individuals.

Travelers cheques are example of M_1

Question No: 7 (Marks: 1) - Please choose one

The Consumer Price Index (CPI):

► **Tends to overstate inflation due to substitution bias**

- Tends to understate actual inflation
- Is more accurate than the GDP deflator
- Is based on basket of goods that changes monthly with consumer expenditures

Question No: 8 (Marks: 1) - Please choose one

Considering the value of a financial instrument, the longer the time until the promised payment is made:

► **The less valuable is the promise to make it since time is valuable**

- The greater the risk, therefore the promise has greater value
- The more valuable is the promise to make it
- It has no effect on the value of instrument

Question No: 9 (Marks: 1) - Please choose one

Commissions paid to an insurance broker are an example of which of the following?

- Risk transfer
- Information asymmetry
- **Transaction costs**
- All of the given options

Question No: 10 (Marks: 1) - Please choose one

_____ are the economies central nervous system.

- Financial Instruments

► **Financial Markets**

- Financial Institutions
- Financial Companies

Financial markets are like the "central nervous system" of the economy, says Cecchetti's textbook.

Question No: 11 (Marks: 1) - Please choose one

Which one of the following is **NOT** an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ

▶ **Large exchanges in London**

- ▶ Large exchanges in Tokyo

Question No: 12 (Marks: 1) - Please choose one

Which of the following market allowed networks of dealers that are connected electronically?

- ▶ New York Stock Exchange

▶ **NASDAQ**

- ▶ Large exchanges in London

- ▶ Large exchanges in Tokyo

Question No: 13 (Marks: 1) - Please choose one

Bonds that are issued by Government are called _____.

- ▶ Government bonds

▶ **Treasury bonds**

- ▶ Corporate bonds

- ▶ Callable bonds

Question No: 14 (Marks: 1) - Please choose one

What is relationship between interest rate and future value?

- ▶ Lower the interest rate higher will be the future value

▶ **Higher the interest rate higher will be the future value**

- ▶ Higher the interest rate lower will be the future value

- ▶ Interest rate has no effect on future value

Question No: 15 (Marks: 1) - Please choose one

The future value of \$100 left in a savings account earning 4.5% for two and a half years is best expressed by:

- ▶ $\$100(1.045)^{3/2}$

- ▶ $\$100(0.45)^{2.5}$

▶ **$\$100(1.045)^{2.5}$**

- ▶ $100 \times 2.5 \times (1.045)$

Question No: 16 (Marks: 1) - Please choose one

If the factor time (n) is longer then:

▶ **Present value will be lower**

- ▶ Present value will be higher

- ▶ Interest rate will be lower

- ▶ Time has no effect on present value

Reference: As we calculate PV through dividing the future value by the discount factor which is $(1+i)^n$ so if we increase the value of 'n' It will surely increase the discount factor which is the denominator and the greater the denominator the smaller will be the value of the fraction.

Question No: 17 (Marks: 1) - Please choose one

If at 5% interest rate, \$100 payment has a PV of \$90.70. Then what will be the PV value of \$200 payment? (Without applying formula).

- ▶ \$45.35
- ▶ \$272.1
- ▶ **\$181.4**
- ▶ \$362.8

Lets see the given is that 5% interest rate, $FV = \$100$, $PV = \$90.70$
Now calculate for 'n' that is no of years. As mentioned is that k without using formula so do not use the compounding formula. Use the simple one

$$FV = PV * i * n$$

$$n = FV / PV * i$$

$$n = 100 / 90.7 * 0.05$$

$$n = 22$$

We are asked to calculate PV if $FV = 200$

$$PV = FV / i * n$$

$$PV = 200 / 1.1$$

$$PV = \$181.4$$

Question No: 18 (Marks: 1) - Please choose one

Which of the following provides the greatest incentive to borrow?

- ▶ A high real interest rate
- ▶ **A low real interest rate**
- ▶ A high nominal interest rate
- ▶ A low nominal interest rate

Question No: 19 (Marks: 1) - Please choose one

Which of the following represents the fisher's equation?

- ▶ **Nominal interest rate = real interest rate + inflation**
- ▶ Nominal interest rate + inflation = real interest rate
- ▶ Nominal interest rate = real interest rate - inflation
- ▶ Nominal interest rate = real interest rate / inflation

Question No: 20 (Marks: 1) - Please choose one

What will be the result of the difference of real and nominal interest rate?

- ▶ The cost of borrowing
- ▶ **The effect of inflation**
- ▶ The price of bonds
- ▶ The return of bonds

nominal interest rate is equal to the real interest rate plus the expected rate of inflation

Question No: 21 (Marks: 1) - Please choose one

Which of the following statement is true for amortized loan?

- ▶ Payment includes interest and full amount of principal
- ▶ Payment includes only the interest
- ▶ **Payment includes both interest and some portion of the principal**
- ▶ Principal amount is paid fully in the periodic payments

These loans are amortized, meaning that the borrower pays off the principal along with the interest over the life of the loan. Each payment includes both interest and some portion of the principal.

Question No: 22 (Marks: 1) - Please choose one

A zero coupon bond:

- ▶ Does not pay any coupon payments because the issuer is in default
- ▶ Pays coupons only once a year versus the usual twice a year
- ▶ **Promises a single future payment**

▶ Pays coupons only if the bond price is below face value

Question No: 23 (Marks: 1) - Please choose one

Which of the following best expresses the formula for determining the price of a U.S. Treasury bill per \$100 of face value?

▶ $\$100(1 + i)$

▶ **$\$100 / (1 + i)^n$**

▶ $\$100 / (1 + i)$

▶ $1 + \$100 / (1 + i)^n$

Question No: 24 (Marks: 1) - Please choose one

If YTM equals the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ Lower than its face value

▶ **Equals to its face value**

▶ Insufficient information is given

Question No: 25 (Marks: 1) - Please choose one

The return on the bond is equal to which of the following?

▶ Coupon rate + rate of capital gains

▶ **Current yield + rate of capital gains**

▶ Coupon rate - rate of capital gains

▶ Current yield - rate of capital gains

Question No: 26 (Marks: 1) - Please choose one

A business cycle downturn shifts the bond supply to the:

▶ Right

▶ **Left**

▶ No change

▶ None of the given options

A business-cycle downturn shifts the bond supply to the left and the bond demand to the left. In this case the bond price can rise or fall, depending on which shift is greater. But interest rates tend to fall in recessions, so bond prices are likely to increase

Question No: 27 (Marks: 1) - Please choose one

In the long run, the yield curve tends to be which of the following?

▶ **Upward sloping**

▶ Downward sloping

▶ Nearly vertical

▶ Nearly horizontal

The yield curve's upward slope is due to long-term bonds being riskier than short-term bonds

Question No: 28 (Marks: 1) - Please choose one

Yield curves show which of the followings?

- ▶ The relationship between bond interest rates (yields) and bond prices
- ▶ The relationship between liquidity and bond interest rates (yields)
- ▶ The relationship between risk and bond interest rates (yields)
- ▶ **The relationship between time to maturity and bond interest rates (yields)**

In finance, the yield curve is the relation between the interest rate (or cost of borrowing) and the time to maturity of the debt for a given ...

Question No: 29 (Marks: 1) - Please choose one

Mr. Ghazanfar wants to invest Rs.2,000 in a bond. If this bond is expected to receive a return of Rs.100 per month and a tax of Rs.3 will be deducted on this return. Then Mr. Ghazanfar made his decision by considering which of the following fact?

- ▶ He is attracted by Rs.100 return per month
- ▶ **He considers Rs.100 less deduction for tax i.e.Rs.97**
- ▶ He takes into consideration only the portion of tax which is deducted
- ▶ His decision will not be affected by any of the given factors

Question No: 30 (Marks: 1) - Please choose one

Mr. Ali has a bond, which is issued by local government of Punjab which is **NOT** true for situation?

- ▶ **He faces tax affects on return on bond**
- ▶ His bond can also be named as municipal bond
- ▶ He receive interest on that bond throughout life period of bond
- ▶ Default risk affects its return on bond

One of the primary reasons municipal bonds are considered separately from other types of bonds is their special ability to provide tax-exempt income. Interest paid by the issuer to bond holders is often exempt from all federal taxes, as well as state or local taxes depending on the state in which the issuer is located

Question No: 31 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ **Because only interest income they receive from bond is taxable**
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

Question No: 32 (Marks: 1) - Please choose one

The expectations theory of the term structure assumes:

- ▶ **Buyers of bonds consider bonds of different maturities to be perfect substitutes**
- ▶ Markets for different maturity bonds are completely separate
- ▶ Buyers of bonds prefer bonds with shorter maturities
- ▶ Buyers of bonds prefer bonds with longer maturities

Question No: 33 (Marks: 1) - Please choose one

The fact that common stockholders are residual claimants means:

- ▶ The stockholders receive their dividends before any other residuals are paid
- ▶ **The stockholders receive the remains after everyone else is paid**
- ▶ The stockholders are paid any past due dividends before other claims are paid
- ▶ The common stockholders are responsible for all corporate debts

Question No: 34 (Marks: 1) - Please choose one

An index number is a valuable tool because:

- ▶ The number by itself provides all of the useful information needed
- ▶ **The index provides a meaningful measurement scale to calculate percentage changes**

- ▶ The index is more stable than the data it reflects
- ▶ It does not require any calculations to compute percentage changes

Question No: 35 (Marks: 1) - Please choose one

The Theory of Efficient Markets:

- ▶ **Allows for higher than average returns if the investor takes higher risk**
- ▶ Says Insider-information makes markets less efficient
- ▶ Rules out high returns due to chance
- ▶ Assumes people have equal luck

[Reference](#)

Question No: 36 (Marks: 1) - Please choose one

In a financial market where information is symmetric:

- ▶ **The same information would be known by both parties in a transaction**
- ▶ One party to a transaction knows information the other party does not
- ▶ The ability to obtain information is available to only one party
- ▶ All of the given options

[Reference](#)

Question No: 37 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

- ▶ **Mutual funds**
- ▶ Small corporations
- ▶ Stock brokers
- ▶ Small investors cannot take part in economic activity

Question No: 38 (Marks: 1) - Please choose one

Money once consisted of Gold and silver coins which were eventually replaced by which of the following?

- ▶ Plastic money
- ▶ **Paper money**
- ▶ Commodity money
- ▶ E-money

Question No: 39 (Marks: 3)

Briefly discuss different types of investment grades of Long term ratings be PACRA.

Answer : PACRA is the Pakistan Credit rating agency which rates different companies in Pakistan who offer bonds or stocks to investors. They rate companies independently to protect investors from companies who might default and not pay the investors. Based on

their ratings given to different companies people who want to invest will know which companies to go for investment and which to avoid.

The different types of investment grades given of long term ratings given by them are :

AAA : This is highest credit quality and has lowest expectation of risk

AA : Very high credit quality and very low expectation of risk

A: High credit quality and low expectation of risk

BB : Good credit quality and as of now there is low expectation of credit risk.

Question No: 40 (Marks: 3)

Money is accepted in economic exchange. Discuss.

Question No: 41 (Marks: 5)

“People differ in their opinions of how stocks should be valued”. Discuss it.

**MIDTERM EXAMINATION
MGT411- Money & Banking (Session - 2)**

Time: 60 min

Question No: 1 (Marks: 1) - Please choose one

We need _____ to carry out day to day transactions.

- ▶ **Money**
- ▶ Bonds
- ▶ Stocks
- ▶ Loans

Question No: 2 (Marks: 1) - Please choose one

The reason for the government to get involved in the financial system is to:

- ▶ Protect investors
- ▶ Ensure the stability of the financial system
- ▶ Protect bank customers from monopolistic exploitation
- ▶ **All of the given options**

Question No: 3 (Marks: 1) - Please choose one

_____ are organized to eliminate the need of costly information gathering.

- ▶ Central banks
- ▶ Commercial banks
- ▶ **Stock exchanges**

- ▶ Insurance companies

Question No: 4 (Marks: 1) - Please choose one

All of the following are the components of M_2 EXCEPT?

- ▶ M_1
- ▶ Saving deposits
- ▶ **Travelers cheques**
- ▶ Mutual funds shares

Question No: 5 (Marks: 1) - Please choose one

A Financial Intermediary:

- ▶ Is an agency that guarantees a loan
- ▶ Is involved in direct finance
- ▶ **Would be used in indirect finance**
- ▶ None of the given options

Question No: 6 (Marks: 1) - Please choose one

Commissions paid to an insurance broker are an example of which of the following?

- ▶ Risk transfer
- ▶ **Information asymmetry**
- ▶ Transaction costs
- ▶ All of the given options

Question No: 7 (Marks: 1) - Please choose one

The financial intermediary that obtains funds largely through premium payments and uses those funds to purchase corporate bonds and mortgages is:

- ▶ Credit unions
- ▶ Mutual funds
- ▶ **Life insurance companies**

- ▶ Pension funds

Question No: 8 (Marks: 1) - Please choose one

Risk sharing is the characteristic of which one of the following?

- ▶ Checks
- ▶ Checking accounts
- ▶ Money
- ▶ **Bonds**

Question No: 9 (Marks: 1) - Please choose one

Bonds that are issued by Government are called _____.

- ▶ Government bonds
- ▶ **Treasury bonds**
- ▶ Corporate bonds
- ▶ Callable bonds

Question No: 10 (Marks: 1) - Please choose one

Which of the following is the difference that lies between the options and futures?

- ▶ Options is not binding whereas future is binding
- ▶ **Futures carry risks but Options didn't carry risk**
- ▶ Centralized clearinghouses guarantee futures but not options contracts
- ▶ There is no difference between options and futures

Question No: 11 (Marks: 1) - Please choose one

Which of the following describes the general formula for the calculation of the compound interest?

- ▶ $FV = PV/(1+i)^n$
- ▶ $FV = PV/(1-i)^n$
- ▶ **$FV = PV*(1+i)^n$**
- ▶ $FV = PV*(1-i)^n$

Question No: 12 (Marks: 1) - Please choose one

If you put \$1,000 per year into bank at 4% interest, how much would you have saved after 40 years?

- ▶ \$90,000
- ▶ **\$98,826**
- ▶ \$82,286
- ▶ \$85,880

[Handouts Lesson 08](#)

Question No: 13 (Marks: 1) - Please choose one

Which one of the following is the procedure of finding out the Present Value (PV)?

- ▶ **Discounting**
- ▶ Compounding
- ▶ Time value of money
- ▶ Bond pricing

Question No: 14 (Marks: 1) - Please choose one

What is true about the relationship between standard deviation and risk?

- ▶ **Greater the standard deviation greater will be the risk**
- ▶ Greater the standard deviation lower will be the risk
- ▶ Greater the standard deviation risk will be remained the same
- ▶ No relation between them

[Handouts Lesson 11](#)

Question No: 15 (Marks: 1) - Please choose one

Most of the people among us are _____.

- ▶ Risk lovers
- ▶ Risk enhancers
- ▶ **Risk averse**

- ▶ Risk tolerating

Question No: 16 (Marks: 1) - Please choose one

_____ is the strategy of reducing overall risk by making two investments with opposing risks.

- ▶ Spreading the risk
- ▶ Standard deviation
- ▶ **Hedging the risk**
- ▶ Variance

[Handouts Lesson 12](#)

Question No: 17 (Marks: 1) - Please choose one

If ABC Inc. and XYZ Inc. have returns that are perfectly negatively correlated:

- ▶ **Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will reduce risk**
- ▶ Adding ABC Inc. to a portfolio that includes only XYZ Inc. will increase risk
- ▶ Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will neither increase nor decrease the risk of the portfolio
- ▶ Adding XYZ Inc. to a portfolio that consists of only ABC Inc. will lower systematic risk

[If the two risky assets have returns that are perfectly negatively correlated, one can show that the minimum variance portfolio is risk free while the frontier is once again linear.](#)

Question No: 18 (Marks: 1) - Please choose one

Mr. A has a Treasury bill with a maturity period of 6 months where as Mr. B has a bond with a maturity period of 1 year. Which of the following statement is **NOT** true for this situation?

- ▶ Mr. A has paid less price for his bond than Mr. B
 - ▶ Mr. A has paid less price for his bond than Mr. B
 - ▶ **Mr. A and Mr. B is a holder of zero coupon bond**
 - ▶ Mr. A will receive payment at the end of the maturity period
-
- ▶ Mr. B will receive the payment at the end of the maturity period

Question No: 19 (Marks: 1) - Please choose one

Which of the following statement is true for amortized loan?

- ▶ Payment includes interest and full amount of principal
- ▶ Payment includes only the interest
- ▶ **Payment includes both interest and some portion of the principal**
- ▶ Principal amount is paid fully in the periodic payments

[Handouts Lesson 12](#)

These loans are amortized, meaning that the borrower pays off the principal along with the interest over the life of the loan. Each payment includes both interest and some portion of the principal.

Question No: 20 (Marks: 1) - Please choose one

Which of the following best describes the relationship between Bond prices and yields?

- ▶ Move together directly
- ▶ Independent of each other
- ▶ **Move together inversely**
- ▶ Bond yields do not change since the coupon is fixed

Question No: 21 (Marks: 1) - Please choose one

The relationship between the price and the interest rate for a zero coupon bond is best described as _____.

- ▶ Volatile
- ▶ Stable
- ▶ **Inverse**
- ▶ No relationship

[Handouts Lesson 13](#)

Question No: 22 (Marks: 1) - Please choose one

The price of a 6-month Treasury Bill is _____ the price of a 1-year Treasury Bill.

- ▶ **Lower than**
- ▶ Higher than
- ▶ Equal to
- ▶ None of the given options

[Handouts Lesson 13](#)

Question No: 23 (Marks: 1) - Please choose one

If YTM is greater than the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ **Lower than its face value**
- ▶ Equals to its face value
- ▶ Insufficient information is given

If the yield to maturity equals the coupon rate, the price of the bond is the same as its face value. If the yield is greater than the coupon rate, the price is lower; if the yield is below the coupon rate, the price is greater.

Question No: 24 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

- ▶ Price paid / yearly coupon payment
- ▶ Price paid *yearly coupon payment
- ▶ Yearly coupon payment / face value of bond
- ▶ **Yearly coupon payment / price paid**

[Handouts Lesson 14](#)

Question No: 25 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ▶ Bond yield
- ▶ **Bond ratings**
- ▶ Bond risk
- ▶ Bond price

[Handouts Lesson 16](#)

Question No: 26 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ **Because only interest income they receive from bond is taxable**
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

[Handouts Lesson 17](#)

Question No: 27 (Marks: 1) - Please choose one

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

- ▶ **Higher the tax rate wider the gap between the yield of taxable and tax exempt bond**
- ▶ Taxable bond yield is always greater than tax exempt bond
- ▶ Higher the tax rate shorter the gap between yield of taxable and tax exempt bond
- ▶ Lower the tax rate wider the gap between yield of taxable and tax exempt bond

Question No: 28 (Marks: 1) - Please choose one

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

- ▶ Shorter
- ▶ **Wider**

- ▶ No gap
- ▶ Any thing can be possible

Question No: 29 (Marks: 1) - Please choose one

Which of the following statement is correct about the yield curve?

- ▶ Yield on short term bonds are not more volatile than yield on long term bond
- ▶ **Long term yields tend to be higher than short term yield**
- ▶ Interest rate of different maturities don't tend to move together
- ▶ None of the given options

Question No: 30 (Marks: 1) - Please choose one

Which one of the following is **NOT** true for the expectation hypothesis?

- ▶ Risk free interest rate can be computed
- ▶ **There is uncertainty in the future**
- ▶ Identifying yield of bond today that will be available next year
- ▶ It focuses on risk free interest rate and the risk premium

Question No: 31 (Marks: 1) - Please choose one

The slope of the yield curve seems to predict the performance of the economy with:

- ▶ Usually 3 months lag
- ▶ Usually two years lag
- ▶ Usually within few weeks
- ▶ **Usually one year lag**

Question No: 32 (Marks: 1) - Please choose one

The liquidity premium theory suggests that yield curves should usually be:

- ▶ **Up-sloping**
- ▶ Inverted
- ▶ Flat
- ▶ Up-sloping through year 1, then flat thereafter

Question No: 33 (Marks: 1) - Please choose one

If we ignore risk, the dividend discount model says the fundamental price of a stock is simply:

- ▶ **The current dividend divided by the interest rate less the dividend growth rate**
- ▶ The annual growth rate of the dividend minus the interest rate divided by the current dividend
- ▶ The current dividend divided by the interest rate plus the dividend growth rate
- ▶ The current dividend divided by the dividend growth rate less the interest rate

Question No: 34 (Marks: 1) - Please choose one

The theory of efficient market states that prices of financial instruments reflect:

- ▶ **All available information**
- ▶ Some of the information
- ▶ No information
- ▶ Imperfect information

[Handouts Lesson 20](#)

Question No: 35 (Marks: 1) - Please choose one

Without the ability of financial intermediaries to pool the resources of small savers:

- ▶ Borrowers needing large amounts of money would find it less costly to obtain the funds
- ▶ The economy would likely grow faster
- ▶ People would likely save more

- ▶ **The risk associated with lending would increase**

Question No: 36 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ Borrowers and lenders have perfect information
- ▶ **Borrowers would have more information than lenders**

Question No: 37 (Marks: 1) - Please choose one

Previously financial markets were located in which one of the following?

- ▶ **Coffee houses or Taverns**
- ▶ Stock exchanges
- ▶ Bazaar
- ▶ Both Coffee houses and Stock exchanges

Question No: 38 (Marks: 1) - Please choose one

Zero-Coupon Bonds are pure discount bonds since they sell at a price _____.

- ▶ **Equal their face value**

- ▶ Below their face value
- ▶ Above their face value
- ▶ None of the given options

Zero coupon bonds are bonds that do not pay interest during the life of the bonds. Instead, investors buy zero coupon bonds at a deep discount from their face value, which is the amount a bond will be worth when it "matures" or comes due. When a zero coupon bond matures, the investor will receive one lump sum equal to the initial investment plus the imputed interest, which is discussed below.

Question No: 39 (Marks: 3)

How Financial System promotes economic efficiency? List down points.ple.

ANSWER:

1. The Financial System makes it Easier to Trade
2. Facilitate Payments - bank checking accounts
3. Channel Funds from Savers to Borrowers

4. Enable Risk Sharing - Classic examples are insurance and forward markets

Question No: 40 (Marks: 3)

Briefly discuss different types of speculative grades of Long term ratings be PACRA.

ANSWER:

Long Term Ratings by PACRA

Investment Grades:

AAA: Highest credit quality. 'AAA' ratings denote the lowest expectation of credit risk.

AA: Very high credit quality. 'AA' ratings denote a very low expectation of credit risk.

A: High credit quality. 'A' ratings denote a low expectation of credit risk.

BBB: Good credit quality. 'BBB' ratings indicate that there is currently a low expectation of credit risk.

Speculative Grades:

BB: Speculative.

'BB' ratings indicate that there is a possibility of credit risk developing,

B: Highly speculative. 'B' ratings indicate that significant credit risk is present, but a limited margin of safety remains.

CCC, CC, C: High default risk. Default is a real possibility.

BB shows that there is a possibility of credit risk in making.

B Highly speculative in nature. 'B' it shows that that significant credit risk is there, but a limited margin of safety remains.

CCC, C, CC High default risk. Chances of default are a real possibility.

Question No: 41 (Marks: 5)

Suppose that over the past 20 years, the average annual return on investments has been 12%. For each dollar invested at the beginning of the period, How much money would investors have at the end of 20 years?

$$FV = (1+i)^n - 1/i$$

$$(1+.12)^{20} - 1/.12 = 72.052$$

$$72.052 \times (1.12) = 80.698$$

MIDTERM EXAMINATION
Spring 2010
MGT411- Money & Banking (Session - 2)

Time: 60 min
Marks: 44

Question No: 1 (Marks: 1) - Please choose one

Which of the following are used to transfer resources from savers to investors and to transfer risk to those who best equipped it?

- ▶ Financial markets
- ▶ **Financial instruments**
- ▶ Financial institutions
- ▶ Banks

Refrance page num 2

2. Financial Instruments

To transfer wealth from savers to borrowers

To transfer risk to those best equipped to bear it.

Once investing was an activity reserved for the wealthy

Costly individual stock transactions through stockbrokers

Information collection was not so easy

Now, small investors have the opportunity to purchase shares in “mutual funds.”

Question No: 2 (Marks: 1) - Please choose one

The reason for the government to get involved in the financial system is to:

- ▶ **Protect investors**
- ▶ **Ensure the stability of the financial system**
- ▶ **Protect bank customers from monopolistic exploitation**

Refrance page num 92

There are three reasons for the government to get involved in the financial system

- ♣ **To protect investors**
- ♣ **To protect bank customers from monopolistic exploitation**
- ♣ **To ensure the stability of the financial system**

Question No: 3 (Marks: 1) - Please choose one

A Financial Intermediary:

- ▶ Is an agency that guarantees a loan
- ▶ Is involved in direct finance
- ▶ **Would be used in indirect finance**
- ▶ None of the given options

Question No: 4 (Marks: 1) - Please choose one

A derivative instrument:

- ▶ **Gets its value and payoff from the performance of the underlying instrument**
- ▶ Is a high risk financial instrument used by highly risk averse savers
- ▶ Comes into existence after the underlying instrument is in default
- ▶ Should be purchased prior to purchasing the underlying security

Page num 16

Derivative Instruments

♣ Value and payoffs are “derived from” the behavior of the underlying instruments

Question No: 5 (Marks: 1) - Please choose one

The financial intermediary that obtains funds largely through premium payments and uses those funds to purchase corporate bonds and mortgages is:

- ▶ Credit unions
- ▶ Mutual funds
- ▶ **Life insurance companies**
- ▶ Pension funds

Ref page 21

Question No: 6 (Marks: 1) - Please choose one

Which one of the following financial instrument is NOT primarily used as store of value?

- ▶ Banks loans
- ▶ Asset-backed securities
- ▶ **Insurance contracts**
- ▶ Stocks

Ref page 17

Primarily Stores of Value

♣ Bank Loans

♣ A borrower obtains resources from a lender immediately in exchange for a promised set of payments in the future

♣ Bonds

♣ A form of a loan, whereby in exchange for obtaining funds today a government or corporation promises to make payments in the future

♣ Home Mortgages

♣ A loan that is used to purchase real estate

♣ The real estate is collateral for the loan,

♣ It is a specific asset pledged by the borrower in order to protect the interests of the lender in the event of nonpayment.

♣ If payment is not made the lender can foreclose on the property.

♣ Stocks

♣ An owner of a share owns a piece of the firm and is entitled to part of its profits.

Question No: 7 (Marks: 1) - Please choose one

Which one of the following represents the main purpose for which the secondary markets are made?

- ▶ **Small investors who don't have an access to new securities**
- ▶ Primary market is not enough for buying and selling of securities
- ▶ Large investors usually traded in these markets
- ▶ Prices in the secondary markets are known to investors

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is NOT an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

Question No: 9 (Marks: 1) - Please choose one

What will be the effect on the present value if we double the future value of the payment?

- ▶ It will decrease the value by one-half
- ▶ It will increase the value by one-half
- ▶ It will equally increase the value i.e. doubles the value
- ▶ It will have no effect on the value

Question No: 10 (Marks: 1) - Please choose one

The interest rate that is involved in _____ calculation is referred to as discount rate

- ▶ Present value
- ▶ Future value
- ▶ Intrinsic value
- ▶ Discount value

Question No: 11 (Marks: 1) - Please choose one

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called:

- ▶ Simple loan
- ▶ Fixed-payment loan
- ▶ Coupon bond
- ▶ Discount bond

Question No: 12 (Marks: 1) - Please choose one

Mary is planning on taking out a mortgage loan for her new house. She is given the choice of two different banks: Bank A has quoted annual rate of 8% compounded semi-annually and Bank B has a quoted annual rate of 7.5% compounded for a certain number of times a year. Which bank should Mary choose?

- ▶ Bank A
- ▶ Bank B
- ▶ Indifferent between Bank A and Bank B
- ▶ Insufficient information

Question No: 13 (Marks: 1) - Please choose one

For a \$1000 one year discount bond with a price of \$975, the yield to maturity is which of the following?

- ▶ $\$975/\1000
- ▶ $(\$1000 - \$975)/\$975$
- ▶ $(\$1000 - \$975)/(\$1000)$
- ▶ $\$1000/\975

Coupon rate/ market price

Question No: 14 (Marks: 1) - Please choose one

If YTM equals the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ Lower than its face value
- ▶ Equals to its face value
- ▶ Insufficient information is given

[Ref chapter 14 start](#)

Question No: 15 (Marks: 1) - Please choose one

If YTM is less than the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ Lower than its face value
- ▶ Equals to its face value
- ▶ Insufficient information is given

[Ref chapter 14 start](#)

Page 43

Yield to Maturity: General Relationships

♣ General Relationships

- ♣ If the yield to maturity equals the coupon rate, the price of the bond is the same as its face value.
- ♣ If the yield is greater than the coupon rate, the price is lower;
- ♣ If the yield is below the coupon rate, the price is greater
- ♣ If you buy a bond at a price less than its face value you will receive its interest and a capital gain, which is the difference between the price and the face value.
- ♣ As a result you have a higher return than the coupon rate
- ♣ When the price is above the face value, the bondholder incurs a capital loss and the bond's yield to maturity falls below its coupon rate

Question No: 16 (Marks: 1) - Please choose one

Current yield is equal to which of the following?

- ▶ Price paid / yearly coupon payment
- ▶ Price paid *yearly coupon payment
- ▶ Yearly coupon payment / face value of bond
- ▶ **Yearly coupon payment / price paid**

Question No: 17 (Marks: 1) - Please choose one

For a \$100 one-year zero-coupon bond, the supply will be _____ at \$95 than it will be at \$90, all other things being equal.

- ▶ **Higher than before**
- ▶ Lower than before
- ▶ Stable
- ▶ Insufficient information

For a \$100 one-year zero-coupon bond, the supply will be higher at \$95 than it will be at \$90, all other things being equal.

Question No: 18 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond supply to the _____

- ▶ **Right**
- ▶ Left
- ▶ No change
- ▶ None of the given options

An increase in expected inflation shifts bond supply to the right and bond demand to the left.

Question No: 19 (Marks: 1) - Please choose one

The default premium:

- ▶ Is positive for a U.S. Treasury bond
- ▶ Must always be less than 0 (zero)
- ▶ **Is also known as the risk spread**
- ▶ Is assigned by a bond rating agency

Question No: 20 (Marks: 1) - Please choose one

Calculate tax implication on Bond yields. Consider a one year bond face value Rs.100 (issued by Government) with coupon rate of 6%.What is the income of bond that is received at maturity? (Tax rate is 30%).

- ▶ Rs.6
- ▶ Rs.1.80
- ▶ **Rs.4.20**
- ▶ Rs.7.80

Tax-Exempt Bond Yield = (Taxable Bond Yield) x (1- Tax Rate).

<http://groups.google.com/group/vuZs>

Question No: 21 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ **Because only interest income they receive from bond is taxable**
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers

- ▶ Because all bond is sold with a condition that tax will be deducted from its return

The important factor that affects the return on a bond is taxes

Bondholders must pay income tax on the interest income they receive from privately issued

Question No: 22 (Marks: 1) - Please choose one

Expectation hypothesis focuses on which one of the following?

- ▶ Risk premium
- ▶ Risk free interest rate
- ▶ Yield to maturity
- ▶ None of the given options

Reference:

Expectations Hypothesis

The risk-free interest rate can be computed, assuming that there is no uncertainty about the future

Question No: 23 (Marks: 1) - Please choose one

According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects

- ▶ Short-term interest rates to rise sharply
- ▶ Short-term interest rates to stay near their current levels
- ▶ Short-term interest rates to drop sharply
- ▶ Short-term interest rates does not change

Question No: 24 (Marks: 1) - Please choose one The Theory of Efficient Markets:

- ▶ Allows for higher than average returns if the investor takes higher risk
- ▶ Says Insider-information makes markets less efficient
- ▶ Rules out high returns due to chance
- ▶ Assumes people have equal luck

Question No: 25 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ Borrowers and lenders have perfect information
- ▶ Borrowers would have more information than lenders

Question No: 26 (Marks: 1) - Please choose one

Often a bank will require a loan officer to make personal visits on customers with loans outstanding. This is encouraged because:

- ▶ The bank worries about competitors trying to steal their customers
- ▶ The bank wants to make sure the business is still there
- ▶ The bank likely has excess funds available and hopes to make another loan to the business
- ▶ This is an effective monitoring technique and should reduce moral hazard

Question No: 27 (Marks: 1) - Please choose one

Financial instruments are used to transfer which of the following?

- ▶ Both Risk and Resources
- ▶ Risk
- ▶ Resources
- ▶ Mortgages

Question No: 28 (Marks: 1) - Please choose one

Which of the following has created an opportunity for small investors to participate in economic activity?

- ▶ Mutual funds
- ▶ Small corporations
- ▶ Stock
- ▶ Small investors cannot take part in economic activity

Question No: 29 (Marks: 3)

Find out YTM of 1 year 12% coupon bond selling at \$130. (Face value of bond = \$100).

Question No: 30 (Marks: 3)

Why stocks are risky?

Question No: 31 (Marks: 5)

Discuss the negative consequences of information costs and also suggest their solution.

Question No: 32 (Marks: 5)

Ahmad purchases a 10 year 8% coupon bond with the face value of \$100. He wants to hold this bond for 1-year and then sells a 9-year bond after 1-year.

(i) If interest rate does not change then what will be the rate of return?

(ii) If interest rate falls to 6% then suppose price increases to \$109.16. What will be the capital gain after the price rise?

(iii) After the price rise, what will be the one year holding period return?

**MIDTERM EXAMINATION
MGT411- Money & Banking (Session - 6)**

>

Question No: 1 (Marks: 1) - Please choose one

If a person has a large amount of currency or big bank account at a point in time, which statement suites best for him?

- ▶ **He has money with him**
- ▶ He earns income
- ▶ He is wealthy
- ▶ He is not a taxpayer

Question No: 2 (Marks: 1) - Please choose one

When a buyer buys a pair of shoes, with credit card. Which of the following statement describes the payment procedure in this situation?

- ▶ Buyer pays that amount to shopkeeper at the spot with the help of credit card
- ▶ Buyer's bank makes payment to shopkeeper later on
- ▶ **Buyer's bank makes payment to shopkeeper's bank immediately**

- ▶ Shopkeeper's bank makes payment to shopkeeper

Question No: 3 (Marks: 1) - Please choose one

In electronic transfer the most common method is to send money through a system maintained by Federal reserve called _____.

- ▶ Fedex
- ▶ **Fedwire**
- ▶ Fedtransfer
- ▶ Fedmoney

Question No: 4 (Marks: 1) - Please choose one

E money is really a form of which one of the following?

- ▶ Paper money
- ▶ Fiat money
- ▶ Government money
- ▶ **Private money**

E-money is a form of private money.

Question No: 5 (Marks: 1) - Please choose one

Economic research shows:

- ▶ There is a strong inverse correlation between financial market development and economic growth
- ▶ There is weak relation between financial market development and economic growth around 0.25
- ▶ **There is a relatively strong positive correlation between financial market development and economic growth**
- ▶ There isn't any correlation between financial market development and economic growth

Question No: 6 (Marks: 1) - Please choose one

Which one of the following represents the main purpose for which the secondary markets are made?

- ▶ **Small investors who don't have an access to new securities**
- ▶ Primary market is not enough for buying and selling of securities
- ▶ Large investors usually traded in these markets
- ▶ Prices in the secondary markets are known to investors

Question No: 7 (Marks: 1) - Please choose one

Which of the following is the difference that lies between the options and futures?

- ▶ **Options is not binding whereas future is binding**
- ▶ Futures carry risks but Options didn't carry risk
- ▶ Centralized clearinghouses guarantee futures but not options contracts
- ▶ There is no difference between options and futures

Question No: 8 (Marks: 1) - Please choose one

What is relationship between interest rate and future value?

- ▶ Lower the interest rate higher will be the future value
- ▶ **Higher the interest rate higher will be the future value**
- ▶ Higher the interest rate lower will be the future value
- ▶ Interest rate has no effect on future value

Question No: 9 (Marks: 1) - Please choose one

The future value of \$200 at a 5% per year interest rate at the end of one year is:

- ▶ \$195.00
- ▶ **\$210.00**
- ▶ \$197.50
- ▶ \$100

$$FV = PV \cdot (1+i)$$
$$= 200 \cdot (1 + 5/100)^1$$

Question No: 10 (Marks: 1) - Please choose one

The future value of \$100 left in a savings account earning 4.5% for two and a half years is best expressed by:

- ▶ $100(1.045)^{3/2}$
- ▶ $100(0.45)^{2.5}$
- ▶ **$100(1.045)^{2.5}$**
- ▶ $100 \times 2.5 \times (1.045)$

Question No: 11 (Marks: 1) - Please choose one

Which of the following statement is true for amortized loan?

- ▶ **Payment includes interest and full amount of principal**
- ▶ Payment includes only the interest
- ▶ Payment includes both interest and some portion of the principal
- ▶ Principal amount is paid fully in the periodic payments

These loans are amortized, meaning that the borrower pays off the principal along with the interest over the life of the loan.

Question No: 12 (Marks: 1) - Please choose one

For a \$1000 one year discount bond with a price of \$975, the yield to maturity is which of the following?

- ▶ \$975/\$1000
- ▶ **$(\$1000 - \$975)/\$975$**
- ▶ $(\$1000 - \$975)/(\$1000)$
- ▶ \$1000/\$975

Question No: 13 (Marks: 1) - Please choose one

If the annual interest rate is 6% (.06); the price of a one year Treasury bill would be:

- ▶ \$94.00
- ▶ **\$94.33**
- ▶ \$95.25
- ▶ \$96.10

Price of a One-Year Treasury bill = $100(1+.06) = 94.33$

Question No: 14 (Marks: 1) - Please choose one

For a \$100 one-year zero-coupon bond, the supply will be _____ at \$95 than it will be at \$90, all other things being equal.

- ▶ **Higher than before**
- ▶ Lower than before
- ▶ Stable
- ▶ Insufficient information

Lesson: 14

For a \$100 one-year zero-coupon bond, the supply will be higher at \$95 than it will be at \$90, all other things being equal.

Question No: 15 (Marks: 1) - Please choose one

In which of the following bonds we may ignore the default risk?

- ▶ Privately issued bonds
- ▶ **Government issued bonds**
- ▶ Bonds issued by Corporate
- ▶ All of the given options

Question No: 16 (Marks: 1) - Please choose one

What is the true relationship that exists between default risk and yield?

- ▶ **Higher the default risk, higher the yield**
- ▶ Lower the default risk, higher the yield
- ▶ Higher the default risk yield will remain constant
- ▶ Lower the default risk yield will remain constant

Lesson: 16

The higher the default risk the higher the probability that bondholders will not receive the promised payments and thus, the higher the yield.

Question No: 17 (Marks: 1) - Please choose one

Which of the following patterns of term structure occur most frequently?

- ▶ Ascending yield curve
- ▶ Descending yield curve
- ▶ **Flat yield curve**
- ▶ Humped yield curve

Question No: 18 (Marks: 1) - Please choose one

Beside default risk which one if the following factor affects the return on bond?

- ▶ **Taxes**

- ▶ Monetary policy
- ▶ Junk bonds
- ▶ Debt

Lesson: 17

The second important factor that affects the return on a bond is taxes.

Question No: 19 (Marks: 1) - Please choose one

Which of the following statement is true about two bonds having same default rate and tax status but different maturity dates?

- ▶ It creates no effect on yield of bonds
- ▶ **Both of them have different yield**
- ▶ Liquidity risk factor should be taken into consideration
- ▶ It is impossible that default risk and tax status of two bonds are same

Question No: 20 (Marks: 1) - Please choose one

The relationship among bonds with same risk characteristics but different maturities is called:

- ▶ Same structure of interest rate
- ▶ Yield to maturity
- ▶ **Term structure of interest rate**
- ▶ None of the given options

Lesson: 17

Question No: 21 (Marks: 1) - Please choose one

According to the liquidity premium theory of the term structure, when the yield curve has its usual slope, the market expects

- ▶ Short-term interest rates to rise sharply
- ▶ **Short-term interest rates to stay near their current levels**
- ▶ Short-term interest rates to drop sharply
- ▶ Short-term interest rates does not change

Question No: 22 (Marks: 1) - Please choose one

You start with a \$1000 portfolio; it loses 40% over the next year, the following year it gains 50% in value; At the end of two years the worth of your portfolio will be:

- ▶ **\$900**
- ▶ \$600
- ▶ \$1000
- ▶ \$1100

Question No: 23 (Marks: 1) - Please choose one

The theory of efficient market states that prices of financial instruments reflect:

- ▶ **All available information**
- ▶ Some of the information
- ▶ No information
- ▶ Imperfect information

Lesson: 20

Question No: 24 (Marks: 1) - Please choose one

Financial instruments are used to transfer which of the following?

- ▶ **Both Risk and Resources**
- ▶ Risk
- ▶ Resources
- ▶ Mortgages

Question No: 25 (Marks: 1) - Please choose one

Previously financial markets were located in which one of the following?

- ▶ **Coffee houses or Taverns**
- ▶ Stock exchanges
- ▶ Bazaar
- ▶ Both Coffee houses and Stock exchanges

Question No: 26 (Marks: 1) - Please choose one

The interest rate used in the present value calculation is often referred as:

- ▶ **Discount rate**
- ▶ Inflation rate
- ▶ Nominal rate

- ▶ Deflation rate

The interest rate used in the present value calculation is often referred to as the discount rate because the calculation involves discounting or reducing future payments to their equivalent value today.

Question No: 27 (Marks: 1) - Please choose one

A change in the interest rate:

- ▶ **Has a larger impact on the present value of a payment to be made far into the future than one to be made sooner**
- ▶ Will not have a difference on the present value of two equal payments to be made at different times
- ▶ Has a smaller impact on the present value of a payment to be made far into the future than one to be made sooner
- ▶ None of the given options

Question No: 28 (Marks: 1) - Please choose one

Bond A is for 1 Year and Bond B is for 5 years maturity period. Which one of the statements is true for Bond A and Bond B.

- ▶ Yields on A is Less volatile than the yield on B
- ▶ Yields on A is Higher than the yield on B
- ▶ **Yields on A is Lower than the yield on B**
- ▶ Yields on A is More volatile than the yield on B

Question No: 29 (Marks: 3)

Find out YTM of 1 year 7% coupon bond selling at \$90. (Face value of bond = \$100).

Question No: 30 (Marks: 3)

“Stock market plays a crucial role in every modern capitalist economy”. Discuss.

Question No: 31 (Marks: 5)

You are the founder of an automobile company. Describe the idiosyncratic & systematic risks that your company faces.

Question No: 32 (Marks: 5)

“People differ in their opinions of how stocks should be valued”. Discuss it.

MIDTERM EXAMINATION
MGT411- Money & Banking (Session - 5)

Question No: 1 (Marks: 1) - Please choose one

Given a choice between two investments with the same expected payoff:

- ▶ Most people will select the one with the highest variance
- ▶ Most people will opt for the one with the higher standard deviation
- ▶ Most people will be indifferent since the expected payoffs are the same
- ▶ **Most people will choose the one with the lower standard deviation**

Lesson 11

Given a choice between two investments with the same expected payoff, most people would choose the one with the lower standard deviation because it would have less risk.

Question No: 2 (Marks: 1) - Please choose one

For the valuation of goods and for quoting prices under the barter system the general formula which is used for n goods is _____.

- ▶ $n(n+1)/2$
- ▶ $n(n-1)*2$
- ▶ $n(n-1)/2$
- ▶ **$(n-1)/2$**

Lesson 3

Question No: 3 (Marks: 1) - Please choose one

_____ are organized to eliminate the need of costly information gathering.

- ▶ Central banks

- ▶ Commercial banks
- ▶ **Stock exchanges**
- ▶ Insurance companies

Lesson 2

Stock exchanges are organized to eliminate the need for costly information gathering and thus facilitate the exchange of securities.

Question No: 4 (Marks: 1) - Please choose one

Considering the value of a financial instrument, the longer the time until the promised payment is made:

- ▶ **The less valuable is the promise to make it since time is valuable**
- ▶ The greater the risk, therefore the promise has greater value
- ▶ The more valuable is the promise to make it
- ▶ It has no effect on the value of instrument

Question No: 5 (Marks: 1) - Please choose one

The real interest rate is:

- ▶ The nominal rate plus the expected inflation rate
- ▶ **The nominal rate minus the expected inflation rate**
- ▶ The nominal interest rate divided by the Consumer Price Index
- ▶ The product of the nominal rate and the Consumer Price Index

Question No: 6 (Marks: 1) - Please choose one

Which of the following is NOT a non depository institution?

- ▶ **House Building Finance Corporation**
- ▶ Zarai Tarkaytee Bank LTD
- ▶ United Bank LTD
- ▶ Khushali Bank

Question No: 7 (Marks: 1) - Please choose one

Financial intermediaries provide small lender-savers all of the following advantages EXCEPT:

- ▶ Greater liquidity
- ▶ Lower transaction cost
- ▶ Lower risk
- ▶ **Higher return**

Question No: 8 (Marks: 1) - Please choose one

What will be the Future Value (FV) of \$1000 in 5 years at 5% interest rate?

- ▶ \$1300.00
- ▶ **\$1276.28**
- ▶ \$1999.99
- ▶ \$1500.52

$$=1000*(1+0.05)^5$$

Question No: 9 (Marks: 1) - Please choose one

If the factor time (n) is longer then:

- ▶ **Present value will be lower**
- ▶ Present value will be higher
- ▶ Interest rate will be lower
- ▶ Time has no effect on present value

Question No: 10 (Marks: 1) - Please choose one

An investment carrying a current cost of \$130,000 is going to generate \$70,000 of revenue for each of the next three years. To calculate the internal rate of return we need to:

- ▶ Calculate the present value of each of the \$70,000 payments and multiply these and set this equal to \$130,000
- ▶ Take the present value of \$210,000 for three years from now and set this equal to \$130,000
- ▶ **Set the sum of the present value of \$70,000 for each of the next three years equal to \$130,000**
- ▶ Subtract \$130,000 from \$210,000 and set this difference equal to the interest rate

Question No: 11 (Marks: 1) - Please choose one

Which of the following statement best describes to calculate the future value?

- ▶ **Multiply the present value by the interest rate and add that amount of interest to the present value**
- ▶ Divide the present value by the interest rate and add that amount of interest to the present value.
- ▶ Divide the present value by the interest rate and subtract that amount of interest to the present value.
- ▶ Multiply the present value by the interest rate and subtract that amount of interest to the present value.

Question No: 12 (Marks: 1) - Please choose one

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called:

- ▶ Simple loan
- ▶ Fixed-payment loan
- ▶ **Coupon bond**
- ▶ Discount bond

Question No: 13 (Marks: 1) - Please choose one

When an individual obtains a student loan and makes all of the regular monthly payments, the sum of the payments made will exceed the initial amount of the loan. Which of the core principle primarily applies in this situation?

- ▶ Risk Requires Compensation
- ▶ **Time has value**
- ▶ Markets are sometimes inefficient at allocating resources
- ▶ Information is the basis for decisions

Question No: 14 (Marks: 1) - Please choose one

_____ is the strategy of reducing overall risk by making two investments with opposing risks.

- ▶ Spreading the risk
- ▶ Standard deviation
- ▶ **Hedging the risk**
- ▶ Variance

Question No: 15 (Marks: 1) - Please choose one

Which of the following statement is **NOT** true for consols?

- ▶ Consol offers only periodic interest payments
- ▶ Borrower never repays the principal
- ▶ **There are Government and as well as private consols**
- ▶ Price of a consol is the present value of all the future interest payments

Question No: 16 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ▶ Bond yield
- ▶ **Bond ratings**
- ▶ Bond risk
- ▶ Bond price

Question No: 17 (Marks: 1) - Please choose one

The price of a 6-month Treasury Bill is _____ the price of a 1-year Treasury Bill.

- ▶ Lower than
- ▶ **Higher than**
- ▶ Equal to
- ▶ None of the given options

Question No: 18 (Marks: 1) - Please choose one

For a \$1000 one year discount bond with a price of \$975, the yield to maturity is which of the following?

- ▶ $\$975/\1000
- ▶ $(\$1000 - \$975)/\$975$
- ▶ $(\$1000 - \$975)/(\$1000)$
- ▶ $\$1000/\975

Question No: 19 (Marks: 1) - Please choose one

If YTM is greater than the coupon rate the price of the bond is _____.

- ▶ Greater than its face value
- ▶ **Lower than its face value**
- ▶ Equals to its face value
- ▶ Insufficient information is given

Question No: 20 (Marks: 1) - Please choose one

In the long run, the yield curve tends to be which of the following?

- ▶ Upward sloping
- ▶ Downward sloping
- ▶ Nearly vertical
- ▶ Nearly horizontal

Question No: 21 (Marks: 1) - Please choose one

Beside default risk which one if the following factor affects the return on bond?

- ▶ Taxes
- ▶ Monetary policy
- ▶ Junk bonds
- ▶ Debt

Question No: 22 (Marks: 1) - Please choose one

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

- ▶ Shorter
- ▶ **Wider**
- ▶ No gap
- ▶ Any thing can be possible

Question No: 23 (Marks: 1) - Please choose one

Which of the following statement is correct about the yield curve?

- ▶ Yield on short term bonds are not more volatile than yield on long term bond
- ▶ **Long term yields tend to be higher than short term yield**
- ▶ Interest rate of different maturities don't tend to move together
- ▶ None of the given options

Question No: 24 (Marks: 1) - Please choose one

The concept of limited liability says a **stockholder** of a corporation:

- ▶ Is liable for the corporation's liabilities, but nothing more
- ▶ Cannot receive dividends that exceed their investment
- ▶ Cannot own more than five percent of any public corporation
- ▶ **Cannot lose more than their investment**

Question No: 25 (Marks: 1) - Please choose one

Mr. David makes payment in the form of paper cheques to a merchant in exchange of some goods. Merchant deposits that cheque in his bank in order to receive payment. Which one of the following is **NOT** true for the above situation?

- ▶ **Merchant's bank will debit merchant's account and credit Mr. David's account.**
- ▶ Merchant's bank will just credit the merchant account and send cheque to central bank for further processing.
- ▶ Mr. David's bank will debit his account.
- ▶ Central bank will credit merchant's bank reserve account and debit Mr. David's Bank account.

Question No: 26 (Marks: 1) - Please choose one

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- ▶ Free-riding
- ▶ **Moral hazard**
- ▶ Adverse selection
- ▶ The Lemons market

Question No: 27 (Marks: 1) - Please choose one

Money once consisted of Gold and silver coins which were eventually replaced by which of the following?

- ▶ Plastic money
- ▶ **Paper money**
- ▶ Commodity money
- ▶ E-money

Question No: 28 (Marks: 1) - Please choose one

If a bank has 2000 depositors, each of whom deposits \$500 in the bank, and the bank makes 100 loans of \$10,000 each:

- ▶ Each depositor has contributed \$100 to each loan
- ▶ Each depositor has contributed \$5 to each loan
- ▶ Each depositor has contributed \$50 to each loan
- ▶ **Each depositor has contributed \$500 to each loan**

Question No: 29 (Marks: 3)

“Stock market plays a crucial role in every modern capitalist economy”. Discuss.

Question No: 30 (Marks: 3)

Differentiate among the individual's categories of Risk Neutral, Risk Averse and Risk Lovers.

Question No: 31 (Marks: 5)

Discuss bubbles in your own word.

Question No: 32 (Marks: 5)

Equilibrium in the bond market is the point at which bonds supply equals bonds demand. Discuss bond supply and bond demand.

**MIDTERM EXAMINATION
MGT411- Money & Banking (Session - 3)**

**Time: 60 min
Marks: 44**

Question No: 1 (Marks: 1) - Please choose one

Financial instruments are evolved just as _____.

- ▶ **Currency**
- ▶ Stock
- ▶ Bond
- ▶ Commodity

Question No: 2 (Marks: 1) - Please choose one

Price of 100 goods under the barter system would be _____.

- ▶ 5050
- ▶ 19800
- ▶ **4950**
- ▶ 20200

$= n(n-1) / 2 \text{ prices}$

$= 100(100-1)/2$

Question No: 3 (Marks: 1) - Please choose one

Wealth can be held in number of other forms but we use to hold money because of which one of the following reason?

- ▶ It is the only mode of payment
- ▶ It is an asset
- ▶ **It is most liquid**
- ▶ It is the only store of value

Question No: 4 (Marks: 1) - Please choose one

A decrease in the number of credit cards issued:

- ▶ Has the same impact on the economy as the Federal Reserve supplying less money
- ▶ **Reduces the money supply since credit cards act like money**
- ▶ Would probably lower the amount in M3 but likely not M1
- ▶ None of the given options

Question No: 5 (Marks: 1) - Please choose one

Risk sharing is the characteristic of which one of the following?

- ▶ Checks
- ▶ Checking accounts
- ▶ Money
- ▶ **Bonds**

Question No: 6 (Marks: 1) - Please choose one

_____ is the today's value of a payment that is promised to be made in the future.

- ▶ None of the given options

- ▶ Future value
- ▶ **Present value**
- ▶ Agreed value

Lesson 8

Question No: 7 (Marks: 1) - Please choose one

Which one of the following is the procedure of finding out the Present Value (PV)?

- ▶ **Discounting**
- ▶ Compounding
- ▶ Time value of money
- ▶ Bond pricing

Question No: 8 (Marks: 1) - Please choose one

Asma deposits funds into a CD account at her bank. The CD account has an annual interest of 4.0%.

If Asma leaves the funds in the CD account for entire two years she will have \$1081.60. What amount is Asma depositing?

- ▶ \$960.60
- ▶ \$900.00
- ▶ \$1005.00
- ▶ **\$1000.00**

$$FV = PV(1+i)^n$$

$$1081.60 = PV(1+0.04)^2$$

$$1081.60 = PV(1.0816)$$

$$PV = 1081.60 / 1.0816$$

$$PV = 1000$$

Question No: 9 (Marks: 1) - Please choose one

You receive a check for \$500 three years from today. The discounted present value of this \$500 is _____.

- ▶ $\$500/(1+i)$
- ▶ $\$500*(1+i)$
- ▶ **$\$500/(1+i)^3$**
- ▶ $\$500*(1+i)^3$

Question No: 10 (Marks: 1) - Please choose one

What will be the effect on the present value if we double the future value of the payment?

- ▶ It will decrease the value by one-half
- ▶ It will increase the value by one-half
- ▶ **It will equally increase the value i.e. doubles the value**
- ▶ It will have no effect on the value

Question No: 11 (Marks: 1) - Please choose one

The variance is generally less useful than the standard deviation on which of the following reasons?

- ▶ Variance is easier to calculate
- ▶ Variance is a measure of risk, whereas standard deviation is a measure of return
- ▶ **Variance isn't calculated in the same units as payoffs where as standard deviation is**
- ▶ Both are equally useful

Question No: 12 (Marks: 1) - Please choose one

A risk-averse investor will:

- ▶ Always prefer an investment with a lower expected return
- ▶ **Always prefer an investment with a certain return to one with the same expected return but any amount of uncertainty**

- ▶ Always require a certain return
- ▶ Always focus exclusively on the expected return

Question No: 13 (Marks: 1) - Please choose one

The return on the bond is equal to which of the following?

- ▶ **Coupon rate + rate of capital gains**
- ▶ Current yield + rate of capital gains
- ▶ Coupon rate - rate of capital gains
- ▶ Current yield - rate of capital gains

Question No: 14 (Marks: 1) - Please choose one

An increase in the expected inflation shifts the bond demand to the _____

- ▶ **Right**
- ▶ Left

- ▶ No change
- ▶ None of the given options

Question No: 15 (Marks: 1) - Please choose one

The bond rating of a security refers to which of the followings?

- ▶ The size of the coupon payment relative to the face value
- ▶ The return a holder is likely to receive
- ▶ **The likelihood the lender/borrower will be repaid by the borrower/issuer**
- ▶ The years until the bond matures

Question No: 16 (Marks: 1) - Please choose one

The _____ are an assessment of the creditworthiness of the corporate issuer.

- ▶ Bond yield
- ▶ **Bond ratings**
- ▶ Bond risk
- ▶ Bond price

Question No: 17 (Marks: 1) - Please choose one

Which of the following statement is true for the given sentence, "that tax affects the bond return"?

- ▶ **Because only interest income they receive from bond is taxable**
- ▶ Because principal amount and interest income they receive from bond is taxable
- ▶ Because bond holders are taxpayers
- ▶ Because all bond is sold with a condition that tax will be deducted from its return

Question No: 18 (Marks: 1) - Please choose one

Which one of the following is true for the relationship between the yield of taxable and tax exempt bond?

- ▶ **Higher the tax rate wider the gap between the yield of taxable and tax exempt bond**
- ▶ Taxable bond yield is always greater than tax exempt bond
- ▶ Higher the tax rate shorter the gap between yield of taxable and tax exempt bond
- ▶ Lower the tax rate wider the gap between yield of taxable and tax exempt bond

Question No: 19 (Marks: 1) - Please choose one

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

- ▶ Shorter
- ▶ **Wider**
- ▶ No gap
- ▶ Any thing can be possible

Question No: 20 (Marks: 1) - Please choose one

The liquidity premium theory suggests that yield curves should usually be:

- ▶ **Up-sloping**
- ▶ Inverted
- ▶ Flat
- ▶ Up-sloping through year 1, then flat thereafter

Question No: 21 (Marks: 1) - Please choose one

A share of common stock represents _____.

- ▶ A claim from a lender to a borrower
- ▶ A share in the company's assets
- ▶ **A share of ownership of the company**
- ▶ An unlimited liability to the owner of the stock

Question No: 22 (Marks: 1) - Please choose one

You start with a \$1000 portfolio; it loses 40% over the next year, the following year it gains 50% in value; At the end of two years the worth of your portfolio will be:

- ▶ **\$900**
- ▶ \$600
- ▶ \$1000
- ▶ \$1100

Question No: 23 (Marks: 1) - Please choose one

If information in a financial market is asymmetric, this means:

- ▶ Borrowers and lenders have the same information
- ▶ Lenders lack any information
- ▶ Borrowers and lenders have perfect information

- **Borrowers would have more information than lenders**

Question No: 24 (Marks: 1) - Please choose one

Which of the following is **NOT** an example of financial institutions?

- Bank
- Securities firm
- **Stock exchange**
- Insurance company

Question No: 25 (Marks: 1) - Please choose one

Components of M_1 **DO NOT** include which one of the following?

- Currency in the hands of public
- Demand deposits
- **Small denominations time deposit**
- Checkable deposits

Question No: 26 (Marks: 1) - Please choose one

Mr. Ghazanfar obtains a home improvement loan from Allied Bank. This loan is:

- Mr. Ghazanfar's asset and the bank's liability
- Mr. Ghazanfar's asset, but the liability belongs to the bank's depositors
- **Mr. Ghazanfar's liability and an asset for the bank**
- Both Mr. Ghazanfar's and bank's liability

Question No: 27 (Marks: 1) - Please choose one

The interest rate used in the present value calculation is often referred as:

- **Discount rate**
- Inflation rate
- Nominal rate
- Deflation rate

The interest rate used in the present value calculation is often referred to as the discount rate because the calculation involves discounting or reducing future payments to their equivalent value today.

Question No: 28 (Marks: 1) - Please choose one

If there is a decrease in the expected future interest rate, what will be its effect on bond?

- Bond will be less attractive
- **Bond will be more attractive**
- Bond will be less expensive
- Bond will be more expensive

Question No: 29 (Marks: 3)

Find out YTM of 1 year 10% coupon bond selling at \$120. (Face value of bond = \$100).

Question No: 30 (Marks: 3)

Discuss briefly the facts about term Structure.

Question No: 31 (Marks: 5)

You are the founder of an automobile company. Describe the idiosyncratic & systematic risks that your company faces.

Question No: 32 (Marks: 5)

Discuss bubbles in your own word.

Discuss briefly the facts about term Structure.

Question No: 31 (Marks: 5)

You are the founder of an automobile company. Describe the idiosyncratic & systematic risks that your company faces.

Question No: 32 (Marks: 5)

Discuss bubbles in your own word.

**MIDTERM EXAMINATION
MGT411- Money & Banking (Session - 6)**

Time: 60 min

Marks: 44

Question No: 1 (Marks: 1) - Please choose one

When an individual obtains a student loan and makes all of the regular monthly payments, the sum of the payments made will exceed the initial amount of the loan. Which of the core principle primarily applies in this situation?

- ▶ Risk Requires Compensation
- ▶ **Time has value**
- ▶ Markets are sometimes inefficient at allocating resources
- ▶ Information is the basis for decisions

Question No: 2 (Marks: 1) - Please choose one

If a person has a large amount of currency or big bank account at a point in time, which statement suites best for him?

- ▶ **He has money with him**
- ▶ He earns income
- ▶ He is wealthy
- ▶ He is not a taxpayer

Question No: 3 (Marks: 1) - Please choose one

For the valuation of goods and for quoting prices under the barter system the general formula which is used for n goods is _____.

- ▶ $n(n+1)/2$
- ▶ $n(n-1)*2$
- ▶ $n(n-1)/2$
- ▶ **$(n-1)/2$**

Question No: 4 (Marks: 1) - Please choose one

Economists study the link between money and inflation because:

- ▶ Research shows that there is some inverse correlation between the supply of money and inflation
- ▶ Economists believe that inflation in the 3-5% range is healthy for an economy

- ▶ As prices increase money becomes more valuable
- ▶ **Research shows that there is some direct correlation between the supply of money and inflation**

Question No: 5 (Marks: 1) - Please choose one

Which of the following statements is correct?

- ▶ If you can buy the same goods this year as you bought last year with less money the money supply decreased.
- ▶ **To purchase the same goods today that were purchased one year ago requires more money, there must have been inflation**
- ▶ To purchase the same goods today as one year ago requires less money, the money supply must have increased
- ▶ To purchase the same goods today that were purchased one year ago requires the same amount of money, there must have been inflation

Question No: 6 (Marks: 1) - Please choose one

Which of the following market allowed networks of dealers that are connected electronically?

- ▶ New York Stock Exchange
- ▶ **NASDAQ**
- ▶ Large exchanges in London
- ▶ Large exchanges in Tokyo

Question No: 7 (Marks: 1) - Please choose one

You receive a check for \$500 three years from today. The discounted present value of this \$500 is _____.

- ▶ $\$500/(1+i)$
- ▶ $\$500*(1+i)$
- ▶ **$\$500/(1+i)^3$**
- ▶ $\$500*(1+i)^3$

Question No: 8 (Marks: 1) - Please choose one

Which of the following investment will be profitable?

- ▶ IRR is less than cost of borrowing
- ▶ IRR is equal to cost of borrowing
- ▶ **IRR is greater than cost of borrowing**
- ▶ IRR has no connection with cost of borrowing

Question No: 9 (Marks: 1) - Please choose one

If the internal rate of return from an investment is less than the opportunity cost of funds:

- ▶ Firm should make the investment
- ▶ **Firm should not make the investment**
- ▶ Firm should only make the investment using retained earnings
- ▶ None of the given options

Question No: 10 (Marks: 1) - Please choose one

Mary is planning on taking out a mortgage loan for her new house. She is given the choice of two different banks: Bank A has quoted annual rate of 8% compounded semi-annually and Bank B has a quoted annual rate of 7.5% compounded for a certain number of times a year. Which bank should Mary choose?

- ▶ Bank A
- ▶ **Bank B (not sure)**
- ▶ Indifferent between Bank A and Bank B
- ▶ Insufficient information

Question No: 11 (Marks: 1) - Please choose one

What will be the result of the difference of real and nominal interest rate?

- ▶ The cost of borrowing
- ▶ **The effect of inflation**
- ▶ The price of bonds
- ▶ The return of bonds

Question No: 12 (Marks: 1) - Please choose one

If an investment will return \$1000 $\frac{1}{2}$ of the time and \$600 $\frac{1}{2}$ of the time, the expected value of the investment is:

- ▶ \$1,600
- ▶ **\$800**
- ▶ \$400
- ▶ \$900

To calculate the expected value of an investment, multiply each possible payoff by its probability and then sum all the results.

$$1000 * .5 = 500$$

$$600 * .5 = 300$$

$$(500 + 300) = 800$$

Question No: 13 (Marks: 1) - Please choose one

The risk premium for an investment:

- ▶ **Increases with risk**
- ▶ Is a fixed amount added to the risk free return
- ▶ Is negative for U.S. Treasury Securities
- ▶ Is negative for risk averse investors

Question No: 14 (Marks: 1) - Please choose one

For a \$1000 one year discount bond with a price of \$975, the yield to maturity is which of the following?

- ▶ \$975/\$1000
- ▶ **$(\$1000 - \$975)/\$975$**
- ▶ $(\$1000 - \$975)/(\$1000)$
- ▶ \$1000/\$975

Question No: 15 (Marks: 1) - Please choose one

The relationship between the price and the interest rate for a zero coupon bond is best described as _____.

- ▶ Volatile
- ▶ **Stable**

- ▶ **Inverse**
- ▶ No relationship

The price of a bond and the interest rate move in opposite directions.

Question No: 16 (Marks: 1) - Please choose one

In which of the following bonds we may ignore the default risk?

- ▶ Privately issued bonds
- ▶ **Government issued bonds**
- ▶ Bonds issued by Corporate
- ▶ All of the given options

Question No: 17 (Marks: 1) - Please choose one

The slope of the yield curve seems to predict the performance of the economy with:

- ▶ Usually 3 months lag
- ▶ Usually two years lag
- ▶ Usually within few weeks
- ▶ **Usually one year lag**

Reference

Question No: 18 (Marks: 1) - Please choose one

Other things remaining equal, the liquidity premium theory is based upon the idea that

_____.

- ▶ Investors prefer long-term bonds
- ▶ **Investors prefer short-term bonds**
- ▶ Investors are indifferent between short-term and long-term bonds
- ▶ Investors prefer intermediate-term bonds

http://wps.aw.com/aw_mishkin_econmbfm_8/46/12000/3072105.cw/content/index.htm

1

Question No: 19 (Marks: 1) - Please choose one

The expectations theory of the term structure assumes:

▶ **Buyers of bonds consider bonds of different maturities to be perfect substitutes**

- ▶ Markets for different maturity bonds are completely separate
- ▶ Buyers of bonds prefer bonds with shorter maturities
- ▶ Buyers of bonds prefer bonds with longer maturities

Question No: 20 (Marks: 1) - Please choose one

A share of common stock represents _____.

- ▶ A claim from a lender to a borrower
- ▶ A share in the company's assets
- ▶ **A share of ownership of the company**
- ▶ An unlimited liability to the owner of the stock

Question No: 21 (Marks: 1) - Please choose one

An index number is a valuable tool because:

- ▶ The number by itself provides all of the useful information needed
- ▶ **The index provides a meaningful measurement scale to calculate percentage changes**
- ▶ The index is more stable than the data it reflects
- ▶ It does not require any calculations to compute percentage changes

Question No: 22 (Marks: 1) - Please choose one

The Dividend-Discout Model of stock valuation:

- ▶ Takes the annual dividend, adds it to the expected future selling price and divides by the number of years to get the current price
- ▶ Takes the net present value of expected dividends and add it to the future sale price of the stock
- ▶ Takes the net present value of the expected future price of the stock and add the annual dividend
- ▶ **Is an application of the net present value formula**

Question No: 23 (Marks: 1) - Please choose one

Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- ▶ Free-riding
- ▶ **Moral hazard**
- ▶ Adverse selection
- ▶ The Lemons market

Coinsurance, co-payments, and deductibles reduce the risk of moral hazard by increasing the out-of-pocket spending of consumers, which decreases their incentive to consume. Thus, the insured have a financial incentive to avoid making a claim.

Question No: 24 (Marks: 1) - Please choose one

Financial instruments are used to transfer which of the following?

- ▶ **Both Risk and Resources**
- ▶ Risk
- ▶ Resources
- ▶ Mortgages

Financial instruments are used to transfer wealth from savers to borrowers and risk to those best equipped to bear it.

Question No: 25 (Marks: 1) - Please choose one

Which of the following represents the history of money uptill the modern age?

- ▶ **Gold/silver coins____ Paper Currency____Electronic Fund Transfer**
- ▶ Paper Currency____ Gold/Silver coins____ Electronic Fund Transfer
- ▶ Electronic Fund Transfer____ Paper Currency ____ Gold/silver coins
- ▶ Gold/silver coins____ Electronic Fund Transfer____ Paper currency

Question No: 26 (Marks: 1) - Please choose one

Spreading involves:

- ▶ Finding assets whose returns are perfectly negatively correlated
- ▶ Building a portfolio of assets whose returns move together
- ▶ Investing in bonds and avoiding stocks during bad times
- ▶ **Adding assets to a portfolio that moves independently**

Question No: 27 (Marks: 1) - Please choose one

Home loan and car loan are the examples of which one of the following?

- ▶ Mortgage loan
- ▶ Pledge
- ▶ **Fixed Payment Loan**
- ▶ Ordinary loan

Question No: 28 (Marks: 1) - Please choose one

If there is a decrease in the expected future interest rate, what will be its affect on bond?

- ▶ Bond will be less attractive
- ▶ **Bond will be more attractive**
- ▶ Bond will be less expensive
- ▶ Bond will be more expensive

A decrease in the expected future interest rate makes bonds more attractive

Question No: 29 (Marks: 3)

Find out YTM of 1 year 12% coupon bond selling at \$130. (Face value of bond = \$100).

Question No: 30 (Marks: 3)

Discuss adverse selection in financial markets.

Question No: 31 (Marks: 5)

Assume that a corporation issues 1 year bond at 5% rate with the face value of Rs.100.If there is no risk of default then find out the price of this bond.

Question No: 32 (Marks: 5)

“People differ in their opinions of how stocks should be valued”. Discuss it.

MIDTERM EXAMINATION

MGT411- Money & Banking (Session - 4)

Time: 60 min

Marks: 44

Question No: 1 (Marks: 1) - Please choose one

Financial instruments are evolved just as _____.

- ▶ **Currency**
- ▶ Stock

- ▶ Bond
- ▶ Commodity

Question No: 2 (Marks: 1) - Please choose one

Banks usually offer lower rates of interest to people willing to keep their funds in the bank for a short time because:

- ▶ Banks really do not want these people as customers
- ▶ Banks really do not want a lot of people coming into the bank
- ▶ **Banks realize that time has value**
- ▶ All of the given options

Question No: 3 (Marks: 1) - Please choose one

Which of the following is a drawback of Fiat money?

- ▶ Fewer resources are used to produce money
- ▶ The quantity of money can be determined by rational human judgment
- ▶ **A corrupt Government might issue excessive amount of money thus causing inflation**
- ▶ Fiat money doesn't have any drawback

Question No: 4 (Marks: 1) - Please choose one

The Consumer Price Index (CPI):

- ▶ **Tends to overstate inflation due to substitution bias**
- ▶ Tends to understate actual inflation
- ▶ Is more accurate than the GDP deflator
- ▶ Is based on basket of goods that changes monthly with consumer expenditures

Question No: 5 (Marks: 1) - Please choose one

A derivative instrument:

- ▶ **Gets its value and payoff from the performance of the underlying instrument**
- ▶ Is a high risk financial instrument used by highly risk averse savers
- ▶ Comes into existence after the underlying instrument is in default
- ▶ Should be purchased prior to purchasing the underlying security

Question No: 6 (Marks: 1) - Please choose one

If you put \$1,000 per year into bank at 4% interest, how much would you have saved after 40 years?

- ▶ \$90,000
- ▶ **\$98,826**
- ▶ \$82,286
- ▶ \$85,880

=FV(0.04,40,-1000,0,1)

Question No: 7 (Marks: 1) - Please choose one

What will be the Future Value (FV) of \$1000 in 5 years at 5% interest rate?

- ▶ \$1300.00
- ▶ **\$1276.28**
- ▶ \$1999.99

▶ \$1500.52

$$FV = PV \cdot (1+i)^n$$

$$FV = 1000 \cdot (1+0.05)^5$$

Question No: 8 (Marks: 1) - Please choose one

Which one of the following is the procedure of finding out the Present Value (PV)?

- ▶ **Discounting**
- ▶ Compounding
- ▶ Time value of money
- ▶ Bond pricing

Question No: 9 (Marks: 1) - Please choose one

The interest rate that is involved in _____ calculation is referred to as discount rate

- ▶ **Present value**
- ▶ Future value
- ▶ Intrinsic value
- ▶ Discount value

Question No: 10 (Marks: 1) - Please choose one

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called:

- ▶ Simple loan
- ▶ Fixed-payment loan
- ▶ **Coupon bond**
- ▶ Discount bond

Question No: 11 (Marks: 1) - Please choose one

Which of the following represents the Fisher's equation?

- ▶ **Nominal interest rate = real interest rate + inflation**
- ▶ Nominal interest rate + inflation = real interest rate
- ▶ Nominal interest rate = real interest rate - inflation
- ▶ Nominal interest rate = real interest rate / inflation

Question No: 12 (Marks: 1) - Please choose one

What will be the result of the difference of real and nominal interest rate?

- ▶ The cost of borrowing
- ▶ **The effect of inflation**
- ▶ The price of bonds
- ▶ The return of bonds

Question No: 13 (Marks: 1) - Please choose one

The variance is generally less useful than the standard deviation on which of the following reasons?

- ▶ Variance is easier to calculate
- ▶ Variance is a measure of risk, whereas standard deviation is a measure of return
- ▶ **Variance isn't calculated in the same units as payoffs where as standard deviation is**

- ▶ Both are equally useful

Question No: 14 (Marks: 1) - Please choose one

_____ measures the probability of worst outcome in any investment project.

- ▶ Variance
- ▶ Standard deviation
- ▶ **Value at risk**
- ▶ Hedging

Question No: 15 (Marks: 1) - Please choose one

What is true about the relationship between standard deviation and risk?

- ▶ **Greater the standard deviation greater will be the risk**
- ▶ Greater the standard deviation lower will be the risk
- ▶ Greater the standard deviation risk will be remained the same
- ▶ No relation between them

Question No: 16 (Marks: 1) - Please choose one

Most of the people among us are _____.

- ▶ Risk lovers
- ▶ Risk enhancers
- ▶ **Risk averse**
- ▶ Risk tolerating

Question No: 17 (Marks: 1) - Please choose one

When a bond becomes more liquid relative to its alternatives, the demand curve for bonds shifts to the:

- ▶ **Right**
- ▶ Left
- ▶ No change
- ▶ None of the given options

Question No: 18 (Marks: 1) - Please choose one

Which one of the following agencies assesses the default risk of different issuers?

- ▶ Insurance companies
- ▶ Bond issuing
- ▶ **Credit rating**
- ▶ Recruitment agencies

Question No: 19 (Marks: 1) - Please choose one

In the long run, the yield curve tends to be which of the following?

- ▶ **Upward sloping**
- ▶ Downward sloping
- ▶ Nearly vertical
- ▶ Nearly horizontal

Question No: 20 (Marks: 1) - Please choose one

Yield curves show which of the followings?

- ▶ The relationship between bond interest rates (yields) and bond prices

- ▶ The relationship between liquidity and bond interest rates (yields)
- ▶ The relationship between risk and bond interest rates (yields)
 - ▶ **The relationship between time to maturity and bond interest rates (yields)**

Question No: 21 (Marks: 1) - Please choose one

Which of the following patterns of term structure occur most frequently?

- ▶ Ascending yield curve
- ▶ Descending yield curve
- ▶ **Flat yield curve**
- ▶ Humped yield curve

Question No: 22 (Marks: 1) - Please choose one

Term structure of interest rate can be explained by which one of the following?

- ▶ Tax difference
- ▶ Expectation hypothesis
- ▶ Liquidity premium theory
- ▶ **Both by expectation hypothesis and liquidity premium theory**

Question No: 23 (Marks: 1) - Please choose one

The concept of limited liability says a **stockholder** of a corporation:

- ▶ Is liable for the corporation's liabilities, but nothing more
- ▶ Cannot receive dividends that exceed their investment
- ▶ Cannot own more than five percent of any public corporation
- ▶ **Cannot lose more than their investment**

Question No: 24 (Marks: 1) - Please choose one

The theory of efficient market states that prices of financial instruments reflect:

- ▶ **All available information**
- ▶ Some of the information
- ▶ No information
- ▶ Imperfect information

Question No: 25 (Marks: 1) - Please choose one

Stock market bubbles can lead to:

- ▶ An inefficient allocation of resources
- ▶ **Stock market crashes**
- ▶ Patterns of volatile returns from the stock market
- ▶ All of the given options

Question No: 26 (Marks: 1) - Please choose one

Financial instruments are used to transfer which of the following?

- ▶ **Both Risk and Resources**
- ▶ Risk
- ▶ Resources
- ▶ Mortgages

Question No: 27 (Marks: 1) - Please choose one

_____ evolved from coffee houses to trading places to electronic networks.

- ▶ Financial companies
- ▶ **Financial markets**
- ▶ Financial institutions
- ▶ Financial intermediaries

Question No: 28 (Marks: 1) - Please choose one

If there is a decrease in the expected future interest rate, what will be its affect on bond?

- ▶ Bond will be less attractive
- ▶ **Bond will be more attractive**
- ▶ Bond will be less expensive
- ▶ Bond will be more expensive

Question No: 29 (Marks: 3)

Differentiate between yield to maturity and current yield.

Question No: 30 (Marks: 3)

“Stock market plays a crucial role in every modern capitalist economy”. Discuss.

a) Mr. A has a bond of ABC Corporation. Will his return from this bond be affected by tax? Support your answer with reason.

b) Mr. B has a bond of that is issued by Government. Will his return from this bond be affected by tax? Support your answer with reason.

Question No: 32 (Marks: 5)

Ahmad purchases a 10 year 8% coupon bond with the face value of \$100. He wants to hold this bond for 1-year and then sells a 9-year bond after 1-year.

(i) If interest rate does not change then what will be the rate of return?

(ii) If interest rate falls to 6% then suppose price increases to \$109.16. What will be the capital gain after the price rise?

(iii) After the price rise, what will be the one year holding period return?

MIDTERM EXAMINATION

MGT411- Money & Banking (Session - 2)

Time: 60 min

Marks: 44

Question No: 1 (Marks: 1) - Please choose one

Which of the following statement truly represents the main difference between debit card and store value card?

▶ **Debit card is operated by ATM machine while Store value card doesn't**

- ▶ Debit card appearance is different from Store value card
- ▶ Debit card is not specific for user but store value card is specific
- ▶ Debit card is specific for user but store value card is not

Question No: 2 (Marks: 1) - Please choose one

The Consumer Price Index (CPI):

- ▶ Tends to overstate inflation due to substitution bias
- ▶ **Tends to understate actual inflation**
- ▶ Is more accurate than the GDP deflator
- ▶ Is based on basket of goods that changes monthly with consumer expenditures

Question No: 3 (Marks: 1) - Please choose one

Which of the following is **NOT** a financial instrument?

- ▶ A share of General Motors stock
- ▶ **A tuition bill**
- ▶ A U.S. Treasury bond
- ▶ A home insurance policy

Question No: 4 (Marks: 1) - Please choose one

A derivative instrument:

- ▶ **Gets its value and payoff from the performance of the underlying instrument**
- ▶ Is a high risk financial instrument used by highly risk averse savers
- ▶ Comes into existence after the underlying instrument is in default
- ▶ Should be purchased prior to purchasing the underlying security

Question No: 5 (Marks: 1) - Please choose one

The financial intermediary that obtains funds largely through premium payments and uses those funds to purchase corporate bonds and mortgages is:

- ▶ Credit unions
- ▶ Mutual funds
- ▶ **Life insurance companies**
- ▶ Pension funds

Question No: 6 (Marks: 1) - Please choose one

Which one of the following financial instrument is **NOT** primarily used as store of value?

- ▶ Banks loans
- ▶ Asset-backed securities
- ▶ **Insurance contracts**
- ▶ Stocks

Question No: 7 (Marks: 1) - Please choose one

Which one of the following is **NOT** an example of Centralized exchange?

- ▶ New York Stock Exchange
- ▶ NASDAQ

► **Large exchanges in London**

- Large exchanges in Tokyo

Question No: 8 (Marks: 1) - Please choose one

Which of the following market allowed networks of dealers that are connected electronically?

- New York Stock Exchange

► **NASDAQ**

- Large exchanges in London
- Large exchanges in Tokyo

Question No: 9 (Marks: 1) - Please choose one

Risk sharing is the characteristic of which one of the following?

- Checks
- Checking accounts
- Money

► **Bonds**

Question No: 10 (Marks: 1) - Please choose one

The future value of \$200 at a 5% per year interest rate at the end of one year is:

- \$195.00
- **\$210.00**
- \$197.50
- \$100

Question No: 11 (Marks: 1) - Please choose one

What will be the Future Value (FV) of \$1000 in 5 years at 5% interest rate?

- \$1300.00
- **\$1276.28**
- \$1999.99
- \$1500.52

Question No: 12 (Marks: 1) - Please choose one

If a bond sells at a premium, where price exceeds face value, then we would expect to see:

- Market interest rate the same as the coupon rate
- Market interest rates above the coupon rate
- **Market interest rates below the coupon rate**
- None of the given options

Question No: 13 (Marks: 1) - Please choose one

_____ measures the probability of worst outcome in any investment project.

- Variance
- **Standard deviation**
- Value at risk
- Hedging

Question No: 14 (Marks: 1) - Please choose one

Most of the people among us are _____.

- ▶ Risk lovers
- ▶ Risk enhancers
- ▶ **Risk averse**
- ▶ Risk tolerating

Question No: 15 (Marks: 1) - Please choose one

The risk premium for an investment:

- ▶ **Increases with risk**
- ▶ Is a fixed amount added to the risk free return
- ▶ Is negative for U.S. Treasury Securities
- ▶ Is negative for risk averse investors

Question No: 16 (Marks: 1) - Please choose one

When the auto manufacturing industry does poorly due to a recession in an economy, this is an example of:

- ▶ Idiosyncratic risk
- ▶ **Systematic risk**
- ▶ Risk premium
- ▶ Unique risk

Question No: 17 (Marks: 1) - Please choose one

If YTM is less than the coupon rate the price of the bond is _____.

- ▶ **Greater than its face value**
- ▶ Lower than its face value
- ▶ Equals to its face value
- ▶ Insufficient information is given

Question No: 18 (Marks: 1) - Please choose one

The return on the bond is equal to which of the following?

- ▶ **Coupon rate + rate of capital gains**
- ▶ Current yield + rate of capital gains
- ▶ Coupon rate - rate of capital gains
- ▶ Current yield - rate of capital gains

Question No: 19 (Marks: 1) - Please choose one

Which of the following ratings shows "Highest quality and credit worthiness"?

- ▶ **AAA**
- ▶ AA
- ▶ BB
- ▶ A

Question No: 20 (Marks: 1) - Please choose one

	Bond A	Bond B
Maturity	5 years	10 years

Default risk	5%	5%
Tax rate	30%	30%
Yield	?	?

See the above table and choose the one option which is **NOT** correct about the yield of Bond A and Bond B?

- ▶ Bond tax status and default rate are not the only factors that affect the yield of the two bonds
- ▶ **Bond A has different yield from that of Bond B because of change in maturity period**
- ▶ Yields of both the bonds are not disturbed by maturity period
- ▶ Yield of Bond B depends on what people expect to happen in years to come

Question No: 21 (Marks: 1) - Please choose one

Mr. Ali has a bond, which is issued by local government of Punjab which is **NOT** true for situation?

- ▶ **He faces tax affects on return on bond**
- ▶ His bond can also be named as municipal bond
- ▶ He receive interest on that bond throughout life period of bond
- ▶ Default risk affects its return on bond

Question No: 22 (Marks: 1) - Please choose one

An index number is a valuable tool because:

- ▶ The number by itself provides all of the useful information needed
- ▶ **The index provides a meaningful measurement scale to calculate percentage changes**
- ▶ The index is more stable than the data it reflects
- ▶ It does not require any calculations to compute percentage changes

Question No: 23 (Marks: 1) - Please choose one

Consider a game which involves the rolling of a fair pair of dice. The winner is the individual who calls the outcome correctly, the loser obviously called the wrong outcome. The Theory of Efficient Markets would say:

- ▶ Part of the key information is to know the outcomes of the previous tosses
- ▶ Part of the key information is to know the skill of the person you are playing against
- ▶ **The key information is to know the probabilities of the outcome and the expected payoff**
- ▶ All of the given options

Question No: 24 (Marks: 1) - Please choose one

When stock prices reflect fundamental values:

- ▶ All investors will experience capital gains
- ▶ All companies will have an easier task of obtaining financing for investment projects
- ▶ **The allocation of resources will be more efficient**

- ▶ The overall level of the stock market should move higher continuously

Question No: 25 (Marks: 1) - Please choose one

The process of financial intermediation:

- ▶ Creates a net cost to an economy but is unavoidable
- ▶ Is used primarily in underdeveloped countries
- ▶ Is always used when a borrower needs to obtain funds
- ▶ **Increases the economy's ability to produce**

Question No: 26 (Marks: 1) - Please choose one

Without the ability of financial intermediaries to pool the resources of small savers:

- ▶ Borrowers needing large amounts of money would find it less costly to obtain the funds
- ▶ The economy would likely grow faster
- ▶ People would likely save more
- ▶ **The risk associated with lending would increase**

Question No: 27 (Marks: 1) - Please choose one

Financial instruments are used to transfer which of the following?

- ▶ **Both Risk and Resources**
- ▶ Risk
- ▶ Resources
- ▶ Mortgages

Question No: 28 (Marks: 1) - Please choose one

Money once consisted of Gold and silver coins which were eventually replaced by which of the following?

- ▶ Plastic money
- ▶ **Paper money**
- ▶ Commodity money
- ▶ E-money

Question No: 29 (Marks: 3)

Find out YTM of 1 year 12% coupon bond selling at \$130. (Face value of bond = \$100).

YTM=

Question No: 30 (Marks: 3)

Discuss briefly the facts about term Structure.

Ans: **Term structure facts**

- 1) long term yields tend to be higher than short term bond.
- 2) interest rates of different maturities tend to move together
- 3) yields on short term bond are more volatile than long term bonds yields

Question No: 31 (Marks: 5)

Discuss default risk of bond in detail.

Ans: Default Risk: It is define as that “there is no guarantee that a bond issuer will make the payment which he promised.

When there is higher default risk the higher the probability that those who have the bond will not receive the promised payments and thus higher the yield.

The investor which are risk averse require some compensation for risk, more compensation is require for higher risk.

For example

Suppose risk free rate is 10%

ABC corp. issue one year bond at 10%

Price without risk= $(100 + 10)/1.1 = \text{Rs.}100$

Suppose, there is probability that ABC corp. goes bankrupt, get nothing than two possible payoffs: Rs.110 and Rs.0

Question No: 32 (Marks: 5)

Define stock and also discuss its important characteristics.

Ans:

Stock

This also known as common stocks or equity , are shares in a firm's ownership. It is the key instrument for holding personnel wealth as well as diversify, this also spread and reduce risk which we face. This is one of the way for companies to obtain the finance.

Stocks and stock market are the main link between financial world and real economy.

Stockholder are also entitled to vote at firm's annual meeting such as voting to elect or remove the firm's board of director.

Important characteristics.

- 1) A large number of shares are out standing.
- 2) Price of individual shares are low.
- 3) Shareholder can replace managers who are doing bad.
- 4) Due to limited liability investor only losses do not exceed the amount they paid.
- 5) An individual share represents only small fraction of value of the company.
- 6) This allow individual to make relatively small investment.
- 7) Stockholders receive he proceeds of a firm's activities only after all other creditors are paid

Question No: 1 (Marks: 1) - Please choose one

Wider the range of outcomes wider will be the _____.

▶ **Risk**

- ▶ Cost
- ▶ Probability
- ▶ Loss

Question No: 2 (Marks: 1) - Please choose one

Which of the following statement is true?

▶ Increasing the FV by any percentage will change the PV by same percentage in opposite direction

▶ **Increasing the FV by any percentage will change the PV by same percentage in same direction**

- ▶ Increasing the FV by any percentage will not change the PV by any percentage
- ▶ None of the given options

Question No: 3 (Marks: 1) - Please choose one

A change in the interest rate:

▶ **Has a larger impact on the present value of a payment to be made far into the future than one to be made sooner**

- ▶ Will not have a difference on the present value of two equal payments to be made at different times
- ▶ Has a smaller impact on the present value of a payment to be made far into the future than one to be made sooner
- ▶ None of the given options

Question No: 4 (Marks: 1) - Please choose one

The interest rate used in the present value calculation is often referred as:

▶ **Discount rate**

- ▶ Inflation rate
- ▶ Nominal rate
- ▶ Deflation rate

Question No: 5 (Marks: 1) - Please choose one

_____ pool money from individuals and invest in differ net portfolio and return is distributed in different share holders.

▶ **Mutual funds**

- ▶ Investment banks
- ▶ Brokers
- ▶ Finance companies

Question No: 6 (Marks: 1) - Please choose one

Which of the following institution takes direct deposit from customer and gives loan to customer directly?

- ▶ Zarai Tarkaytee Bank LTD
- ▶ Soneri Bank
- ▶ Khushali Bank
- ▶ **Credit union**

Question No: 7 (Marks: 1) - Please choose one

The statement "risk requires compensation" implies:

- ▶ People always accept risk
- ▶ **People will only accept risk when they are rewarded for doing so**
- ▶ People do not take risk
- ▶ People will pay to avoid risk

Question No: 8 (Marks: 1) - Please choose one

Financial instruments are used to transfer which of the following?

- ▶ **Both Risk and Resources**
- ▶ Risk
- ▶ Resources
- ▶ Mortgages

Question No: 9 (Marks: 1) - Please choose one

The Dividend-Discount Model of stock valuation:

- ▶ **Takes the annual dividend, adds it to the expected future selling price and divides by the number of years to get the current price**
- ▶ Takes the net present value of expected dividends and add it to the future sale price of the stock
- ▶ Takes the net present value of the expected future price of the stock and add the annual dividend
- ▶ Is an application of the net present value formula

Question No: 10 (Marks: 1) - Please choose one

You start with a \$1000 portfolio; it loses 40% over the next year, the following year it gains 50% in value; At the end of two years the worth of your portfolio will be:

- ▶ **\$900**
- ▶ \$600
- ▶ \$1000
- ▶ \$1100

Question No: 11 (Marks: 1) - Please choose one

The risk premium of a bond will:

- ▶ Higher for investment-grade bonds than for high-yield bonds
- ▶ Positive but small if the risk of default is zero
- ▶ Decrease when the default risk rises
- ▶ **Increase when the risk of default rises**

Question No: 12 (Marks: 1) - Please choose one

Term structure of interest rate can be explained by which one of the following?

- ▶ Tax difference
- ▶ Expectation hypothesis
- ▶ Liquidity premium theory
- ▶ **Both by expectation hypothesis and liquidity premium theory**

Question No: 13 (Marks: 1) - Please choose one

A graph in which time to maturity is along x-axis and yield to maturity is along y-axis is called _____.

- ▶ Government curve
- ▶ SWAP curve
- ▶ **Yield curve**
- ▶ LIBOR curve

Question No: 14 (Marks: 1) - Please choose one

Which of the following statement is true about two bonds having same default rate and tax status but different maturity dates?

- ▶ It creates no effect on yield of bonds
- ▶ **Both of them have different yield**
- ▶ Liquidity risk factor should be taken into consideration
- ▶ It is impossible that default risk and tax status of two bonds are same

Question No: 15 (Marks: 1) - Please choose one

If the tax rate is higher than gap between yield on taxable and tax exempt bond?

- ▶ Shorter
- ▶ **Wider**
- ▶ No gap
- ▶ Any thing can be possible

Question No: 16 (Marks: 1) - Please choose one

Which of the following ratings shows “Highest quality and credit worthiness”?

- ▶ **AAA**
- ▶ AA

- ▶ BB
- ▶ A

Question No: 17 (Marks: 1) - Please choose one

Which of the following best describes default risk?

▶ **The chance the issuer will be unable to make interest payments or repay principal**

- ▶ The chance the issuer will retire the debt early
- ▶ The chance the issuing firm will be sold to another firm
- ▶ The chance the issuer will sell more debt

Question No: 18 (Marks: 1) - Please choose one

In which of the following bonds we may ignore the default risk?

- ▶ Privately issued bonds
- ▶ **Government issued bonds**
- ▶ Bonds issued by Corporate
- ▶ All of the given options

Question No: 19 (Marks: 1) - Please choose one

A business cycle downturn shifts the bond supply to the:

- ▶ Right
- ▶ **Left**
- ▶ No change
- ▶ None of the given options

Question No: 20 (Marks: 1) - Please choose one

The relationship between the price and the interest rate for a zero coupon bond is best described as _____.

- ▶ Volatile
- ▶ Stable
- ▶ **Inverse**
- ▶ No relationship

Question No: 21 (Marks: 1) - Please choose one

The return on holding a bond till its maturity is called:

- ▶ Coupon rate
- ▶ **Yield to maturity**
- ▶ Current yield
- ▶ Fixed return

Question No: 22 (Marks: 1) - Please choose one

Treasury bonds & corporate bonds are the examples of _____ bonds.

- ▶ Zero-coupon bonds
- ▶ **Coupon bonds**
- ▶ Consols
- ▶ Fixed payment

Question No: 23 (Marks: 1) - Please choose one

Which of the following statement is **NOT** true for consols?

- ▶ Consol offers only periodic interest payments
- ▶ Borrower never repays the principal
- ▶ **There are Government and as well as private consols**
- ▶ Price of a consol is the present value of all the future interest payments

Question No: 24 (Marks: 1) - Please choose one

A risk-averse investor will:

- ▶ Always prefer an investment with a lower expected return
- ▶ **Always prefer an investment with a certain return to one with the same expected return but any amount of uncertainty**
- ▶ Always require a certain return
- ▶ Always focus exclusively on the expected return

Question No: 25 (Marks: 1) - Please choose one

What is true relationship between return and risk?

- ▶ Lower the risk greater the return
- ▶ **Greater the risk greater the return**
- ▶ Greater the risk no change in return
- ▶ No relationship between them

Question No: 26 (Marks: 1) - Please choose one

What is true about the relationship between standard deviation and risk?

- ▶ **Greater the standard deviation greater will be the risk**
- ▶ Greater the standard deviation lower will be the risk
- ▶ Greater the standard deviation risk will be remained the same
- ▶ No relation between them

Question No: 27 (Marks: 1) - Please choose one

Which of the following represents the fisher's equation?

- ▶ **Nominal interest rate = real interest rate + inflation**
- ▶ Nominal interest rate + inflation = real interest rate
- ▶ Nominal interest rate = real interest rate - inflation
- ▶ Nominal interest rate = real interest rate / inflation

Question No: 28 (Marks: 1) - Please choose one

A credit market instrument that pays the owner a fixed coupon payment every year until the maturity date and then repays the face value is called:

- ▶ Simple loan
- ▶ Fixed-payment loan
- ▶ **Coupon bond**
- ▶ Discount bond

Question No: 29 (Marks: 1) - Please choose one

Which of the following investment will be profitable?

- ▶ IRR is less than cost of borrowing
- ▶ IRR is equal to cost of borrowing
- ▶ **IRR is greater than cost of borrowing**
- ▶ IRR has no connection with cost of borrowing

Question No: 30 (Marks: 1) - Please choose one

Which of the following statement is correct?

- ▶ Higher the future value of payment shorter will be the time
- ▶ **Lower the future value of payment the longer will be the time**
- ▶ Lower the future value of payment the shorter will be the time
- ▶ Higher the future value of payment longer will be the time

Question No: 31 (Marks: 1) - Please choose one

Which of the following describes the general formula for the calculation of the compound interest?

- ▶ $FV = PV/(1+i)^n$
- ▶ $FV = PV/(1-i)^n$
- ▶ **$FV = PV*(1+i)^n$**
- ▶ $FV = PV*(1-i)^n$

Question No: 32 (Marks: 1) - Please choose one

Which of the following is the difference that lies between the options and futures?

- ▶ Options is not binding whereas future is binding
- ▶ **Futures carry risks but Options didn't carry risk**
- ▶ Centralized clearinghouses guarantee futures but not options contracts
- ▶ There is no difference between options and futures

Question No: 33 (Marks: 1) - Please choose one

Risk sharing is the characteristic of which one of the following?

- ▶ Checks
- ▶ Checking accounts
- ▶ Money
- ▶ **Bonds**

Question No: 34 (Marks: 1) - Please choose one

Ali purchases automobile insurance; the insurance contract is:

- ▶ A form of money
- ▶ A financial instrument
- ▶ A transfer of risk from the insurance company to Ali
- ▶ **None of the given options**

Question No: 35 (Marks: 1) - Please choose one

The process of financial intermediation:

- ▶ Creates a net cost to an economy but is unavoidable
- ▶ Is used primarily in underdeveloped countries
- ▶ Is always used when a borrower needs to obtain funds
- ▶ **Increases the economy's ability to produce**

Question No: 36 (Marks: 1) - Please choose one

A decrease in the number of credit cards issued:

- ▶ Has the same impact on the economy as the Federal Reserve supplying less money
- ▶ **Reduces the money supply since credit cards act like money**
- ▶ Would probably lower the amount in M3 but likely not M1
- ▶ None of the given options

Question No: 37 (Marks: 1) - Please choose one

E money is really a form of which one of the following?

- ▶ Paper money
- ▶ Fiat money
- ▶ Government money
- ▶ **Private money**

Question No: 38 (Marks: 1) - Please choose one

Debit card works in the same way as which one of the following?

- ▶ **Cheque**
- ▶ Credit card
- ▶ Store value card
- ▶ Pay order

Question No: 39 (Marks: 1) - Please choose one

When an individual obtains a student loan and makes all of the regular monthly payments, the sum of the payments made will exceed the initial amount of the loan. Which of the core principle primarily applies in this situation?

- ▶ Risk Requires Compensation
- ▶ **Time has value**

- ▶ Markets are sometimes inefficient at allocating resources
- ▶ Information is the basis for decisions

Question No: 40 (Marks: 1) - Please choose one

Stock exchange is an example of:

- ▶ Financial companies
- ▶ Financial institution
- ▶ **Financial market**
- ▶ Bank

Question No: 41 (Marks: 10)

Sort out M1, M2 and M3 from the list below and calculate total value of M1, M2 and M3.

The Monetary Aggregates	
Monetary Aggregates	Value as of August 2004 (U.S.\$ billion)
The Monetary Aggregates	
Monetary Aggregates	Value as of August 2004 (U.S.\$ billion)
M1= Currency in the hands of the public + Traveler's checks	686.2 7.6
+ Demand deposits	315.3
+ Other checkable deposits	328.5
Total M1=	<u>1337.6</u>
M2= Small-denomination time deposits	794.7
+Savings deposits including money market	3415.3
+ Retail money market mutual fund shares	735.5
Total M2=	<u>6283.1</u>
M3= Large-denomination time deposits	1,036.3
+ Institutional money market mutual fund shares	1,104.7
+ Repurchase agreements	516.6
+ Eurodollars	344.5
Total M3	<u>9285.2</u>